BEFORE THE BOARD OF COUNTY COMMISSIONERS FOR JOSEPHINE COUNTY
STATE OF OREGON

In the Matter of Delegating Authority to the Josephine County Interim Airports Manager to Execute Documents Pertaining to Josephine County Airports	**ORDER No. 2026-** (Amends Order No. 2025-049)

WHEREAS, ORS 271.360 requires that every lease entered into by Josephine County of its real property, pursuant to ORS 271.310, shall be authorized by order of the governing body executing the lease; and

WHEREAS, the Board of Commissioners has determined that to provide administrative efficiency, it is in the best interest of the County to delegate to the County Interim Airports Manager, lease signing authority for County owned real properties located at the Josephine County Airports; and

WHEREAS, the Board of County Commissioners has further determined that, for the efficient operation of the Josephine County airports, it is in the best interest of the county to delegate the Josephine County Interim Airports Manager the authority to execute letters of authorization, permits, land use applications, memorandums of understanding (MOUs), and other related documents necessary for the management, operation, leasing, and regulatory compliance of county-owned real property located at the Grants Pass Airport and the Illinois Valley Airport; and

NOW, THEREFORE, IT IS HEREBY ORDERED that, pursuant to ORS 271.360, the Board of Commissioners for Josephine County authorizes the execution of Lease Agreements for county real properties located at the Grants Pass Airport and the Illinois Valley Airport; and

IT IS FURTHER ORDERED that the Board of Commissioners hereby delegates to the County Interim Airports Manager, the authority to sign lease agreements for County owned real properties that are located at the Grants Pass Airport and at the Josephine County Airport; and

IT IS FURTHER ORDERED that the Interim Airports Manager shall comply with the requirements of ORS 271.310 and ORS 271.360 regarding terms and conditions of the leases and rental agreements; and

IT US FURTHER ORDERED that the Board of Commissioners hereby delegates the County Interim Airports Manager the authority to execute Letters of Authorization, permits, land use applications, memorandums of understanding (MOUS) and other related documents necessary for the management, operation, leasing, and regulatory compliance of county-owned real property located at the Grants Pass Airport and the Illinois Valley Airport.

DATED this _____ day of , 2026.

JOSEPHINE COUNTY
BOARD OF COMMISSIONERS

_____
Ron Smith, Chair

_____
Colene Martin, Vice-Chair

_____
Gary Richardson, Commissioner

ORDER NO. 2025-049

Item 3b

CONTRACT

This Contract is made and entered into this ___ day of _____, 2026, by and between **JOSEPHINE COUNTY**, a political subdivision of the State of Oregon, hereinafter called the "Owner," and All Construction Elements, LLC, at address P.O. Box 143 Selma, OR 97538 hereinafter called the "Contractor".

WITNESSETH:
The Contractor, in consideration of the sum to be paid to them by the Owner and of the covenants and agreements herein contained, hereby agrees at his own proper cost and expense to do all the work and furnish all the materials, tools, labor, and all appliances, machinery, and appurtenances for construction of **"NEW FUELING SYSTEM"**, to the extent of the Proposal made by the Contractor, dated February 10, 2026, all in full compliance with the Contract Documents referred to herein. The selected work follows:

Bid Schedule Amount: **$ 566,328.27**

Grand Total Contract Amount: $ 566,328.27

The BIDDING REQUIREMENTS, including the signed copy of the Proposal, the CONTRACT FORMS, the CONDITIONS OF THE CONTRACT, the SPECIFICATIONS, and the DRAWINGS, which consist of 23 sheets entitled **"New Avgas Fueling System",** dated January 2026, are hereby referred to and by reference made a part of this Contract as fully and completely as if the same were fully set forth herein and are mutually cooperative therewith.

In consideration of the performance of the work as set forth in these Contract Documents, the Owner agrees to pay to the Contractor the amount bid in the Proposal as adjusted in accordance with the Contract Documents, or as otherwise herein provided, and to make such payments in the manner and at the times provided in the Contract Documents.

The Contractor agrees to complete the work within the time specified herein and to accept as full payment hereunder the amounts computed as determined by the Contract Documents and based on the said Proposal.

The Contractor agrees to remedy all defects appearing in the work or developing in the materials furnished and the workmanship performed under this Contract for a period of 1 year after the date of acceptance of the work by the Owner, or as otherwise required by the Contract Documents, and further agrees to indemnify and save the Owner harmless from any costs encountered in remedying such defects.

It is agreed the time limit for completion of the Contract, based upon the Proposal, shall be 60 calendar days from the "Notice to Proceed" date.

In the event that the Contractor shall fail to complete the work within the time limit, or the extended time limit agreed upon, as more particularly set forth in the Contract Documents, liquidated damages shall be paid at the rates indicated in Paragraph 80-08 of the General Contract Provisions.

LICENSES: Contractor and its agents and employees shall possess and maintain any licenses, certificates, and authorizations required by law to deliver the Services. Provider shall provide County with copies of licenses and certificates upon request.

CRIMINAL BACKGROUND CHECKS: Contractor shall ensure that criminal background checks have been duly performed of all employees who will render Services under this Agreement, if necessary, and shall retain information on the results of such background checks in accordance with the Records Retention requirements herein.

SAFETY: Contractor shall properly handle, use and dispose of all environmental pollutants and hazardous substances or materials in accordance with applicable law. Contractor shall report all reportable quantity releases of environmental hazards to County. Contractor shall immediately notify County of any hazardous substance or safety hazard which Contractor discovers or encounters during the performance of Services.

PERMITS: County will pay for and Contractor shall obtain all necessary permits and inspections required for the provision of Services.

INDEPENDENT CONTRACTOR: Contractor shall perform the services required by this Contract as an Independent Contractor and not as an employee of County. Contractor and its officers, agents, and employees shall not be deemed an employee of County and shall not be entitled to any benefits from County that generally are granted by County to its employees. Contractor shall be responsible for all federal or state taxes applicable to any compensation or payments paid to Contractor under this Contract. Contractor warrants and affirms that he or she is not an employee of County.

RECORDS: Contractor shall retain all documents pertaining to this Contract and theServices provided, including all financial and accounting records, performance data, and other books, documents, papers and records for a period of six (6) years from the date of completion of Services. Such records shall be subject to inspection and audit by the County at any reasonable time during the term of this Contract, and for six (6) years following the termination of this Contract.

OWNERSHIP OF DOCUMENTS: All documents produced by the Contractor or its agents pursuant to this Contract shall be the property of County. Contractor shall have the right to obtain and keep copies of documentation of all activities performed.

CONFIDENTIALITY: Contractor shall maintain confidentiality of all records, reports, or other information acquired under this Contract that are exempt from disclosure under the Oregon Public Records Law (ORS 192.345 et seq.). Contractor shall not release any such information that is exempt from disclosure without the prior written consent of County.

LIABILITY OF COUNTY: The County's liability for monetary damages for breach of this Contract shall, in the aggregate, be limited to the payment amount of this Contract. In no event shall the County be liable to Contractor for any indirect, special or consequential damages, notwithstanding any notice of the possibility of such damages.

FORCE MAJEURE: Neither County nor Contractor shall be held responsible for delay or default caused by fires, riot, civil disobedience, acts of God, pestilence, or war where such cause was beyond the control of either party. Both parties shall, however, make all reasonable efforts to remove or eliminate such a cause of delay or default and shall, upon the cessation of the cause, diligently pursue performance of its obligations under this Contract.

THIRD PARTY BENEFICIARY: County and Contractor are the only parties to this Contract and are the only parties entitled to enforce its terms. Nothing in this Contract gives any benefit or right, either directly or indirectly, to any third persons.

GOVERNING LAW: This Contract shall be governed by and construed in accordance with the laws of the State of Oregon without regard to principles of conflict of law. Any claim, suit, action or other proceeding that arises from or relates to this contract shall be brought and conducted exclusively in the Circuit Court of the State of Oregon for Josephine County. Any claim brought in a federal forum shall be brought and conducted in the United States District Court for the District of Oregon.

ASSIGNMENT: Contractor shall not assign Contractor's interest in this Contract or enter into subcontracts for any part of the Services without the prior written consent of County.

WAIVER: No provision of this Contract shall be deemed waived unless such waiver is in writing and signed by the Party waiving its rights.

SEVERABILITY: If any provision of this Contract shall be invalid or unenforceable in any respect for any reason, the validity and enforceability of the remaining provisions of thisContract shall not be impaired.

AMENDMENT: This Contract may be amended or modified only when reduced to writing and signed by both parties.

ENTIRE CONTRACT: This Contract constitutes the entire Agreement between the parties and supersedes any previous promises, representations, agreements, conditions or understandings between the parties. There are no other promises, representations, agreements, conditions or understandings, either oral or written, between the parties other than those set forth in this Contract.

AUTHORIZED SIGNER: Each person signing this Contract, represents and warrants that they are duly authorized and has the legal capacity to execute and deliver this Contract.

OWNER:

JOSEPHINE COUNTY, OREGON

BY:_____

Title:_____

Date:_____

CONTRACTOR:

BY:_____

Title:_____

Date:_____

JOSEPHINE COUNTY BOARD OF COMMISSIONERS

_____
Ron Smith, Chair

_____
Colene Martin, Vice Chair

_____
Gary Richardson, Commissioner

DATE: _____

APPROVED AS TO FORM:

/s/ Leah C. Harper
County Legal Counsel

Project Justification: Illinois Valley Airport Fuel Farm

1. Problem and Opportunity

The Illinois Valley Airport currently lacks a sustainably managed aviation fuel system, limiting its ability to fully serve general aviation users. As a general-purpose airport, access to reliable AvGas (100LL) is essential for supporting piston aircraft operations.

While initial financial projections indicate a potential operating deficit, the absence of a viable fuel farm restricts airport utilization, deters transient pilots, and limits broader economic activity in the Illinois Valley region.

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2. Importance and Economic Impact

Providing aviation fuel is a critical infrastructure component for any general aviation airport. Fuel availability directly influences:

- Aircraft traffic volume
- Pilot and visitor spending in the local economy
- Emergency response and aviation services access

Establishing a fuel farm at Illinois Valley Airport is expected to act as a **driver of regional economic growth**, increasing airport activity and supporting local businesses such as tourism, maintenance services, and hospitality.

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3. Benchmarking and Market Comparison

A review of comparable regional airports demonstrates that fuel farm viability depends heavily on **local control, pricing strategy, and volume management**:

- **Grants Pass Airport**
    - Annual flow: ~30,000 gallons (100LL)
    - Average pump price: $6.38/gallon
    - Average delivery cost: $4.82/gallon
    - Approximate gross margin: ~$1.56/gallon
- **Brookings Airport**

- Annual flow: ~7,000 gallons
- Delivery cost: ~$5.60/gallon
- Pump price: $7.21/gallon
- Approximate gross margin: ~$1.61/gallon

These examples demonstrate that even at lower volumes, **appropriate pricing structures can achieve cost recovery and partial margin generation**.

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4. Financial Justification

Although initial projections indicate a potential operating deficit, this project should be evaluated using a **full cost-benefit and lifecycle perspective**, rather than a narrow short-term profit analysis.

Revenue Potential:
Applying conservative assumptions based on regional benchmarks:

- Estimated annual flow (initial): 5,000–10,000 gallons
- Estimated margin range: $1.40–$1.70 per gallon
- Potential annual gross margin: $7,000–$17,000

As airport activity increases, fuel flow is expected to grow, improving economies of scale and reducing per-unit costs.

Cost Recovery Strategy:

- Phased pricing adjustments to align with market conditions
- Supplier contract optimization to reduce delivery costs
- Incremental volume growth through airport promotion and service improvements

Indirect Financial Benefits:
The most significant return on investment comes from **secondary economic impacts**, including:

- Increased fuel sales over time due to higher aircraft activity
- Growth in hangar rentals, tie-down fees, and maintenance services
- Increased local spending by visiting pilots (lodging, dining, transportation)
- Enhanced property and business development around the airport

Break-Even Considerations:
While full operational break-even may not occur immediately, comparable airports demonstrate that:

- Moderate increases in annual fuel flow significantly improve financial performance
- Long-term sustainability is achievable with stable management and pricing control

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5. Need for County Control

Based on these benchmarks, Josephine County Airports has determined that **direct ownership and management of the Illinois Valley fuel farm is necessary** to:

- Implement pricing strategies that balance affordability and cost recovery
- Maintain consistent supply and negotiate favorable fuel contracts
- Reinvest revenues into airport infrastructure and services
- Ensure long-term operational sustainability

Local control is essential to managing both **financial performance and community benefit objectives**.

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6. Expected Benefits

Although the project may not generate immediate profit, it delivers substantial long-term value:

- **Increased airport utilization** and fuel sales growth
- **Improved financial performance over time** through higher volume
- **Economic stimulation** across the Illinois Valley region
- **Enhanced aviation services and safety**
- **Strengthened long-term asset value of the airport**

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7. Conclusion

Despite projected short-term financial deficits, the Illinois Valley Airport Fuel Farm represents a **strategic infrastructure investment with measurable long-term financial and economic returns**.

By leveraging lessons from Grants Pass Airport and Brookings Airport, and through direct management by Josephine County Airports, the project can achieve **progressive cost recovery, increased revenue generation, and sustained regional economic impact**.

Approval is recommended to enable phased implementation, with the understanding that **long-term financial viability improves as fuel volume and airport activity increase**.

5-Year Financial Projection: Illinois Valley Airport Fuel Farm

Key Assumptions

- Initial annual fuel flow: **6,000 gallons**, growing steadily with increased airport activity
- Annual growth rate: **10–15%**
- Average pump price: **$6.75/gallon**
- Average delivery cost: **$5.25/gallon**
- Average gross margin: **$1.50/gallon**
- Operating costs (maintenance, insurance, admin): modest and gradually increasing

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Projected Fuel Sales and Revenue

Year	Gallons Sold	Revenue (@ $6.75)	Cost (@ $5.25)	Gross Margin	Est. Operating Costs	Net Position
Year 1	6,000	$40,500	$31,500	$9,000	$12,000	**($3,000)**
Year 2	6,900	$46,575	$36,225	$10,350	$12,500	**($2,150)**
Year 3	8,000	$54,000	$42,000	$12,000	$13,000	**($1,000)**
Year 4	9,200	$62,100	$48,300	$13,800	$13,500	**+$300**
Year 5	10,500	$70,875	$55,125	$15,750	$14,000	**+$1,750**

Financial Analysis

1. Path to Break-Even

The projection shows the fuel farm operating at a modest deficit in the first three years, with **break-even achieved in Year 4** and a positive net position by Year 5. This aligns with typical general aviation fuel operations at low-volume airports.

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2. Growth-Driven Sustainability

Fuel flow increases are the primary driver of financial improvement. As activity grows at Illinois Valley Airport:

- Fixed costs are spread over more gallons
- Net margins improve incrementally
- The operation becomes self-sustaining

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3. Sensitivity Considerations

Financial performance can improve faster if:

- Fuel pricing is adjusted closer to regional benchmarks (e.g., Brookings Airport pricing levels)
- Volume growth exceeds projections
- Delivery contracts reduce per-gallon costs

Conversely, lower-than-expected demand may extend the break-even timeline.

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4. Indirect Revenue Impact (Not Included Above)

This projection does **not** include secondary revenue streams, which strengthen the overall financial case:

- Increased hangar rentals and tie-down fees
- Maintenance and service activity
- Local economic spending by visiting pilots

Josephine County Airports
(541) 955-4535
1441 Brookside Blvd.
Grants Pass, OR 97526
www.josephinecounty.gov

March 31, 2026

All Construction Elements, LLC.
Attn: Paul Beals
PO Box 143
Selma, OR 97538

SUBJECT: NOTICE OF CONTRACT AWARD
ILLINOIS VALLEY AIRPORT – JOSEPHINE COUNTY
NEW AVGAS FUELING SYSTEM
Oregon HB 5202

Dear Mr. Beals,

You are hereby notified that Josephine County Airports (County) is awarding the above-referenced project to All Construction Elements, LLC. The County has reviewed the submitted bid proposals for the above-referenced project and is awarding the following Oregon HB 5202 funded bid:

- Bid Schedule Amount **$ 566,328.27**

Total Contract Amount: $ 566,328.27, as bid

Enclosed is the **Contract** for the project. Please provide three (3) signed originals and return them along with your signed W9, performance bond, payment bond, a copy of your public works bond as submitted to the CCB, and certificate of insurance, in accordance with Section 30 AWARD AND EXECUTION OF CONTRACT of the General Contract Provisions and Insurance Requirements contained in the Special Provisions to Josephine County within 10 calendar day unless otherwise approved. List additional insured to include: Josephine County and Precision Approach Engineering, Inc.

If you have questions or concerns, please contact me at (541) 955-4535.

Sincerely,
JOSEPHINE COUNTY AIRPORTS

Cherie Jadot
Interim Airport Manager, Josephine County Airports
1441 Brookside Blvd
Grants Pass, Oregon 97526

Enclosures: Contract

cc: Corley McFarland/Precision Approach Engineering, Inc., cmcfarland@preappinc.com

Regarding the Contract, it mirrors what Leah reviewed in the 90% bid document, with the addition of All Construction information and the contract amount. Suggest routing the Contract to Leah for final approval while coordinating approval to issue the Notice of Award.

Let me know if you anticipate this notice of award extending beyond this week, and I will reach out to All Construction to see if they are agreeable to extending the award period.

Thanks,
Corley

BEFORE THE BOARD OF COUNTY COMMISSIONERS FOR JOSEPHINE COUNTY STATE OF OREGON

In the Matter of Authorization of the Sale of County Real Property Not in Use for County Purposes	)))	ORDER NO. 2026-021

WHEREAS, Josephine County is the owner of a certain parcel of real property located at 210 Tacoma Street, Grants Pass, Oregon, which property is more particularly described as follows:

Parcel 1 of Partition Plat No. 2026-9 in Josephine County, Oregon

WHEREAS, the Property was not acquired by means of foreclosure for nonpayment of property taxes, and it is not to the best interest of the county to sell and convey in the manner provided under ORS 275.120, 275.140 to 275.160 and 275.180 to 275.260; and

WHEREAS, ORS 275.030(2) grants specific authority to the County to sell and convey the Property in a manner other than by auction; and

WHEREAS, the Board of Commissioners has determined that it is in the best interest of the County to sell and convey the above-described real property, that is not in use for County purposes, by private sale at current market prices, as authorized by ORS 275.030(2); and

WHEREAS, on October 7, 2025, during the County Administration Workshop, the Board of Commissioners approved listing the property for sale and on March 17, 2026 an offer to purchase from Teen Challenge International Pacific Northwest Centers, was presented to the Board of Commissioners and approved; and

NOW, THEREFORE, IT IS HEREBY ORDERED as follows:

1. The county land parcel, described above, shall be sold at private sale, without further notice, pursuant to ORS 275.030(2), for the amount and under the terms set out as follows:

2. The gross proceeds from the sales are as follows:

    a. Cash Sales: $660,000, less title and escrow fees, and any other related fees.

3. Distribution of the gross proceeds from the sale shall be made as follows:

3.1 The County Finance Director is hereby directed to deduct from the gross proceeds and distribute the amounts as follows:

a. Reimbursement to Fund 473910-37300, Facilities Property Reserve, for expenses incurred for the lot line adjustment and surveying of the property.

b. Reimbursement to Fund 471930-37300, Property Management Property Reserve, for expenses incurred for Application fees and surveying of the property.

c. Reimbursement to Fund 514510-37300, Airports, for the pre-app review fee to Planning.

d. Ten percent (10%) of funds remaining after reimbursements, to Fund 40-1930, Property Management, for property management administrative costs incurred in the inventory, supervision and sale of the property.

e. The remaining proceeds from the sale shall be distributed to Fund 53, the Airports.

4. The Josephine County Board of Commissioners hereby designates its Chair to execute all documents necessary to complete the sale.

DONE and DATED this _____ day of April, 2026.

JOSEPHINE COUNTY
BOARD OF COMMISSIONERS

_____
Ron Smith, Chair

_____
Colene Martin, Vice Chair

_____
Gary Richardson, Commissioner

Approved as to form:

_____
Wally Hicks, Legal Counsel

Josephine County 500 NW 6th Street Grants Pass, Oregon 97526 **Grantor's Name and Address** After recording return document and send tax statements to: Teen Challenge International Pacific Northwest Centers DBA: Adult and Teen Challenge Pacwest 18600 SE Mcloughlin Blvd. Milwaukie, OR 97267 **Grantee's Name and Address**	

WARRANTY DEED

Josephine County, a political subdivision of the State of Oregon, Grantor, conveys and warrants to **Teen Challenge International Pacific Northwest Centers (dba: Adult and Teen Challenge Pacwest),** an Oregon Company, Grantee, the following described real property free of liens and encumbrances, except as specifically set forth herein:

Parcel 1 of Partition Plat No. 2026-9 in Josephine County, Oregon.

Situs: 210 Tacoma Street, Grants Pass, Oregon.

BEFORE SIGNING OR ACCEPTING THIS INSTRUMENT, THE PERSON TRANSFERRING FEE TITLE SHOULD INQUIRE ABOUT THE PERSON'S RIGHTS, IF ANY, UNDER ORS 195.300, 195.301 AND 195.305 TO 195.336 AND SECTIONS 5 TO 11, CHAPTER 424, OREGON LAWS 2007, SECTIONS 2 TO 9 AND 17, CHAPTER 855, OREGON LAWS 2009, AND SECTIONS 2 TO 7, CHAPTER 8, OREGON LAWS 2010. THIS INSTRUMENT DOES NOT ALLOW USE OF THE PROPERTY DESCRIBED IN THIS INSTRUMENT IN VIOLATION OF APPLICABLE LAND USE LAWS AND REGULATIONS. BEFORE SIGNING OR ACCEPTING THIS INSTRUMENT, THE PERSON ACQUIRING FEE TITLE TO THE PROPERTY SHOULD CHECK WITH THE APPROPRIATE CITY OR COUNTY PLANNING DEPARTMENT TO VERIFY THAT THE UNIT OF LAND BEING TRANSFERRED IS A LAWFULLY ESTABLISHED LOT OR PARCEL, AS DEFINED IN ORS 92.010 OR 215.010, TO VERIFY THE APPROVED USES OF THE LOT OR PARCEL, TO DETERMINE ANY LIMITS ON LAWSUITS AGAINST FARMING OR FOREST PRACTICES, AS DEFINED IN ORS 30.930, AND TO INQUIRE ABOUT THE RIGHTS OF NEIGHBORING PROPERTY OWNERS, IF ANY, UNDER ORS 195.300, 195.301 AND 195.305 TO 195.336 AND SECTIONS 5 TO 11, CHAPTER 424, OREGON LAWS 2007, SECTIONS 2 TO 9 AND 17, CHAPTER 855, OREGON LAWS 2009, AND SECTIONS 2 TO 7, CHAPTER 8, OREGON LAWS 2010.

The true consideration for this conveyance is $660,000.

The Order of the Board of Commissioners of Josephine County authorizing this sale pursuant to ORS 275.225, is dated _____, 2026, and recorded in the Board of Commissioners' Journal as Order No. 2026-021.

In Witness Whereof, the grantor has executed this instrument this ____ day of April, 2026.

STATE OF OREGON)
) ss.
County of Josephine)

This instrument was acknowledged before me on this _____ day of April, 2026, by _____

_____

as members of the Josephine County Board of Commissioners.

_____
Notary Public for Oregon
My Commission Expires: _____

Grantor:
JOSEPHINE COUNTY
BOARD OF COMMISSIONERS

_____
Ron Smith, Chair

_____
Colene Martin, Vice-Chair

_____
Gary Richardson, Commissioner

Date: _____

FRANCHISE AGREEMENT

This Franchise Agreement ("**Franchise**") is between the Josephine County of Oregon, hereinafter referred to as the "Grantor" and Spectrum Pacific West, LLC, locally known as CHARTER COMMUNICATIONS, hereinafter referred to as the "Grantee."

WHEREAS, the Grantor finds that the Grantee has substantially complied with the material terms of the current Franchise under applicable laws, and that the financial, legal and technical ability of the Grantee is sufficient to provide services, facilities and equipment necessary to meet the future cable-related needs of the community; and

WHEREAS, having afforded the public adequate notice and opportunity for comment, Grantor desires to enter into this Franchise with the Grantee for the construction and operation of a cable system on the terms set forth herein; and

WHEREAS, the Grantor and Grantee have complied with all federal and State-mandated procedural and substantive requirements pertinent to this franchise renewal;

NOW, THEREFORE, *the Grantor and Grantee agree as follows*:

SECTION 1
Definition of Terms

1.1 **Terms**. For the purpose of this franchise the following terms, phrases, words and their derivations shall have the meaning ascribed to them in the Cable Communications Policy Act of 1984, as amended from time to time (the "Cable Act"), unless otherwise defined herein. When not inconsistent with the context, words used in the present tense include the future, words in the plural number include the singular number, and words in the singular number include the plural number. The word "shall" is mandatory and "may" is permissive. Words not defined shall be given their common and ordinary meaning.

A. "Cable System," "Cable Service," and "Basic Cable Service" shall be defined as set forth in the Cable Act.

B. "Board" shall mean the governing body of the Grantor.

C. "Cable Act" shall mean the Cable Communication Policy Act of 1984, as amended, 47 U.S.C. §§ 521, et. seq.

D. "Channel" shall mean a portion of the electromagnetic frequency spectrum which is used in a cable system and which is capable of delivering a television channel.

E. "Equipment" shall mean any poles, wires, cable, antennae, underground conduits, manholes, and other conductors, fixtures, equipment and other facilities used for the maintenance and operation of physical facilities located in the Streets, including the Cable System.

F. "FCC" shall mean the Federal Communications Commission and any successor governmental entity thereto.

G. "Franchise" shall mean the non-exclusive rights granted pursuant to this Franchise to construct operate and maintain a Cable System along the public ways within all or a specified area in the Franchise Area.

H. "Gross Revenue" means any revenue, as determined in accordance with generally accepted accounting principles, received by the Grantee from the operation of the Cable System to provide Cable Services in the Franchise Area, provided, however, that such phrase shall not include: (1) any taxes, fees or assessments collected by the Grantee from Subscribers for pass-through to a government agency, including, without limitation, any state or federal regulatory fees, the franchise fee, or any sales or utility taxes; (2) unrecovered bad debt; (3) credits, refunds and deposits paid to Subscribers; (4) any exclusions available under applicable State law.

I. "Person" shall mean an individual, partnership, association, organization, corporation, trust or governmental entity.

J. "Service Area" shall mean the area described in subsection 6.1 hereto.

K. "Standard Installation" shall mean installations to residences and buildings that are located up to 125 feet from the point of connection to Grantee's existing distribution system.

L. "State" shall mean the State of Oregon.

M. "Street" shall include each of the following located within the Franchise Area: public streets, roadways, highways, bridges, land paths, boulevards, avenues, lanes, alleys, sidewalks, circles, drives, easements, rights of way and similar public ways and extensions and additions thereto, including but not limited to public utility easements, dedicated utility strips, or rights-of-way dedicated for compatible uses now or hereafter held by the Grantor in the Franchise Area, which shall entitle the Grantee to the use thereof for the purpose of installing, operating, extending, repairing and maintaining the Cable System.

N. "Subscriber" shall mean any Person lawfully receiving Cable Service from the Grantee.

SECTION 2
Grant of Franchise

2.1 **Grant**. The Grantor hereby grants to the Grantee a nonexclusive Franchise which authorizes the Grantee to erect, construct, extend, operate and maintain in, upon, along, across, above, over and under the Streets, now in existence and as may be created or established during its terms, all Equipment, including the Cable System. Nothing in this Franchise shall be construed to prohibit the Grantee from offering any service over its Cable System that is not prohibited by federal or State law.

2.2 **Term**. The Franchise and the rights, privileges and authority hereby granted shall be for an initial term ***of ten (10) years***, commencing on the Effective Date of this Franchise as set forth in Section 14.12. This Franchise will be automatically extended for an additional term of five (5) years, unless either party notifies the other in writing of its desire to not exercise this automatic extension (and enter renewal negotiations under the Cable Act) at least three (3) years before the expiration of this Franchise. If such a notice is given, the parties will then proceed under the federal Cable Act renewal procedures.

2.3 **Police Powers**. The Grantee agrees to comply with the terms of any lawfully adopted generally applicable local ordinance necessary to the safety, health, and welfare of the public, to the extent that the provisions of the ordinance do not have the effect of limiting the benefits or expanding the obligations of the Grantee that are granted by this Franchise. This Franchise is a contract and except as to those changes which are the result of the Grantor's lawful exercise of its general police power, the Grantor may not take any unilateral action which materially changes the mutual promises in this contract.

2.4 **Cable System Franchise Required**. No Cable System shall be allowed to occupy or use the streets or public rights-of-way of the Franchise Area or be allowed to operate without a Cable System Franchise.

SECTION 3
Franchise Renewal

3.1 **Procedures for Renewal**. The Grantor and the Grantee agree that any proceedings undertaken by the Grantor that relate to the renewal of the Grantee's Franchise shall be governed by and comply with the provisions of Section 626 of the Cable Act, or any such successor statute.

SECTION 4
Indemnification and Insurance

4.1 **Indemnification**. The Grantee shall, by acceptance of the Franchise granted herein, defend the Grantor, its officers, boards, commissions, agents, and employees for all claims for injury to any Person or property caused by the negligence of Grantee in the construction or operation of the Cable System and in the event of a determination of liability shall indemnify and hold Grantor, its officers, boards, commissions, agents, and employees harmless from any and all liabilities, claims, demands, or judgments growing out of any injury to any Person or property as a result of the negligence of Grantee arising out of the construction, repair, extension, maintenance, operation or removal of its wires, poles or other equipment of any kind or character used in connection with the operation of the Cable System, provided that the Grantor shall give the Grantee written notice of its obligation to indemnify the Grantor within ten (10) days of receipt of a claim or action pursuant to this section. In the event any such claim arises, the Grantor shall tender the defense thereof to the Grantee and the Grantee shall have the right to defend, settle or compromise any claims arising hereunder and the Grantor shall cooperate fully herein. If the Grantor determines in good faith that its interests cannot be represented by the Grantee, the Grantee shall be excused from any obligation to represent the Grantor. Notwithstanding the foregoing, the Grantee shall not be obligated to indemnify the Grantor for any damages, liability or claims resulting from the willful

misconduct or negligence of the Grantor or for the Grantor's use of the Cable System, including any PEG channels.

4.2 Insurance.

A. The Grantee shall maintain throughout the term of the Franchise insurance in amounts at least as follows:

Workers' Compensation	Statutory Limits
Commercial General Liability	$1,000,000 per occurrence, $2,000,000 General Aggregate
Auto Liability including coverage on all owned, non-owned hired autos	$1,000,000 per occurrence Combined Single Limit
Umbrella Liability	$1,000,000 per occurrence

B. The Grantor shall be added as an additional insured, arising out of work performed by Charter, to the above Commercial General Liability, Auto Liability and Umbrella Liability insurance coverage.

C. The Grantee shall furnish the Grantor with current certificates of insurance evidencing such coverage upon request.

SECTION 5
Service Obligations

5.1 No Discrimination. Grantee shall not deny service, deny access, or otherwise discriminate against Subscribers, Channel users, or general citizens on the basis of race, color, religion, national origin, age or sex.

5.2 Privacy. The Grantee shall fully comply with the privacy rights of Subscribers as contained in Cable Act Section 631 (47 U.S.C. § 551).

SECTION 6
Service Availability

6.1 Service Area. Subject to applicable law, the Grantee shall continue to provide Cable Service to all residences within the Franchise Area where Grantee currently provides Cable Service (the "Service Area"). Grantee shall have the right, but not the obligation, to extend the Cable System into any other portion of the Franchise Area, including annexed areas. Cable Service offered to Subscribers pursuant to this Franchise shall be conditioned upon Grantee having legal access on reasonable terms and conditions to any such Subscriber's dwelling unit or other units wherein such Cable Service is provided.

6.2 New Development Underground. In cases of new construction or property development where utilities are to be placed underground, the Grantor agrees to require as a condition of issuing

a permit for open trenching to any developer or property owner that such developer or property owner give Grantee at least thirty (30) days prior written notice of such construction or development, and of the particular dates on which open trenching will be available for Grantee's installation of conduit, pedestals and/or vaults, and laterals to be provided at Grantee's expense. Grantee shall also provide specifications as needed for trenching. Costs of trenching and easements required to bring service to the development shall be borne by the developer or property owner; except that if Grantee fails to install its conduit, pedestals and/or vaults, and laterals within fifteen (15) working days of the date the trenches are available, as designated in the written notice given by the developer or property owner, then should the trenches be closed after the fifteen day period, the cost of new trenching is to be borne by Grantee.

6.3 **Annexation**. The Grantor shall promptly provide written notice to the Grantee of its annexation of any territory which is being provided Cable Service by the Grantee or its affiliates. Such annexed area will be subject to the provisions of this Franchise upon sixty (60) days' written notice from the Grantor, subject to the conditions set forth below and Section 6.1 above. The Grantor shall also notify Grantee in writing of all new street address assignments or changes within the Franchise Area. Grantee shall within ninety (90) days after receipt of the annexation notice, pay the Grantor franchise fees on revenue received from the operation of the Cable System to provide Cable Services in any area annexed by the Grantor if the Grantor has provided a written annexation notice that includes the addresses that will be moved into the Franchise Area in an Excel format or in a format that will allow Grantee to change its billing system. If the annexation notice does not include the addresses that will be moved into the Franchise Area, Grantee shall pay franchise fees within ninety (90) days after it receives the annexed addresses as set forth above. All notices due under this section shall be sent by certified mail, return receipt requested to the addresses set forth in Section 14.7 with a copy to the Director of Government Affairs. In any audit of franchise fees due under this Franchise, Grantee shall not be liable for franchise fees on annexed areas unless and until Grantee has received notification and information that meets the standards set forth in this section.

SECTION 7
Construction and Technical Standards

7.1 **Compliance with Codes**. All construction practices and installation of equipment shall be done in accordance with all applicable sections of the National Electric Safety Code.

7.2 **Construction Standards and Requirements**. All of the Grantee's Equipment shall be installed, located, erected, constructed, reconstructed, replaced, removed, repaired, maintained and operated in accordance with good engineering practices and performed by experienced maintenance and construction personnel.

7.3 **Safety**. The Grantee shall at all times employ ordinary care and shall use commonly accepted methods and devices preventing failures and accidents which are likely to cause damage.

7.4 **Network Technical Requirements**. The Cable System shall be designed, constructed and operated so as to meet those technical standards adopted by the FCC relating to Cable Systems contained in part 76 of the FCC's rules and regulations as may be amended from time to time.

SECTION 8
Conditions on Street Occupancy

8.1 General Conditions. Grantee shall have the right to utilize existing poles, conduits and other facilities whenever possible, and shall not construct or install any new, different, or additional poles, conduits, or other facilities on public property provided Grantee is able to access existing poles, conduits, or other facilities on reasonable terms and conditions.

8.2 Underground Construction. The facilities of the Grantee shall be installed underground in those Service Areas where existing telephone and electric services are both underground at the time of system construction. In areas where either telephone or electric utility facilities are installed aerially at the time of system construction, the Grantee may install its facilities aerially with the understanding that at such time as the existing aerial facilities are required to be placed underground by the Grantor, the Grantee shall likewise place its facilities underground. In the event Grantor or any agency thereof directly or indirectly reimburses any utility for the placement of cable underground or the movement of cable, Grantee shall be similarly reimbursed.

8.3 Construction Codes and Permits. Grantee shall obtain all legally required permits before commencing any construction work, including the opening or disturbance of any Street within the Franchise Area, provided that such permit requirements are of general applicability and such permitting requirements are uniformly and consistently applied by the Grantor as to other public utility companies and other entities operating in the Franchise Area. The Grantor shall cooperate with the Grantee in granting any permits required, providing such grant and subsequent construction by the Grantee shall not unduly interfere with the use of such Streets. Notwithstanding the above, the Grantee may set off any administrative permit fees or other fees required by the Grantor related to the Grantee's use of Grantor rights-of-way against the franchise fee payments required under Section 10.1 of this Franchise.

8.4 System Construction. All transmission lines, equipment and structures shall be so installed and located as to cause minimum interference with the rights and reasonable convenience of property owners and at all times shall be kept and maintained in a safe, adequate and substantial condition, and in good order and repair. The Grantee shall, at all times, employ ordinary care and use commonly accepted methods and devices for preventing failures and accidents which are likely to cause damage, injuries, or nuisances to the public. Suitable barricades, flags, lights, flares or other devices shall be used at such times and places as are reasonably required for the safety of all members of the public. Any poles or other fixtures placed in any public way by the Grantee shall be placed in such a manner as not to interfere with the usual travel on such public way.

8.5 Restoration of Public Ways. Grantee shall, at its own expense, restore any damage or disturbance caused to the public way as a result of its operation, construction, or maintenance of the Cable System to a condition reasonably comparable to the condition of the Streets immediately prior to such damage or disturbance.

8.6 Removal in Emergency. Whenever, in case of fire or other disaster, it becomes necessary in the judgment of the Grantor to remove any of the Grantee's facilities, no charge shall be made by the Grantee against the Grantor for restoration and repair, unless such acts amount to gross negligence by the Grantor.

8.7 **Tree Trimming**. Grantee or its designee shall have the authority to trim trees on public property at its own expense as may be necessary to protect its wires and facilities.

8.8 **Relocation for the Grantor**. The Grantee shall, upon receipt of reasonable advance written notice, to be not less than ten (10) business days, protect, support, temporarily disconnect, relocate, or remove any property of Grantee when lawfully required by the Grantor pursuant to its police powers. Grantee shall be responsible for any costs associated with these obligations to the same extent all other users of the Grantor rights-of-way are responsible for the costs related to the relocation of their facilities.

8.9 **Relocation for a Third Party**. The Grantee shall, on the request of any Person holding a lawful permit issued by the Grantor, protect, support, raise, lower, temporarily disconnect, relocate in or remove from the Street as necessary any property of the Grantee, provided that the expense of such is paid by any such Person benefiting from the relocation and the Grantee is given reasonable advance written notice to prepare for such changes. The Grantee may require such payment in advance. For purposes of this subsection, "reasonable advance written notice" shall be no less than ten (10) business days in the event of a temporary relocation and no less than one hundred twenty (120) days for a permanent relocation.

8.10 **Reimbursement of Costs**. If funds are available to any Person using the Streets for the purpose of defraying the cost of any of the foregoing, the Grantor shall reimburse the Grantee in the same manner in which other Persons affected by the requirement are reimbursed. If the funds are controlled by another governmental entity, the Grantor shall make application for such funds on behalf of the Grantee.

8.11 **Emergency Use**. Grantee shall comply with 47 U.S.C. 544(g) and all regulations issued pursuant thereto with respect to an Emergency Alert System ("EAS").

SECTION 9
Service and Rates

9.1 **Phone Service**. The Grantee shall maintain a toll-free telephone number and a phone service operated to receive complaints and requests for repairs or adjustments at any time.

9.2 **Notification of Service Procedures**. The Grantee shall furnish each Subscriber at the time service is installed, written instructions that clearly set forth information concerning the procedures for making inquiries or complaints, including the Grantee's name, address and local telephone number. Grantee shall give the Grantor notice of any changes in rates, programming services or Channel positions in accordance with applicable law.

9.3 **Rate Regulation**. Grantor shall have the right to exercise rate regulation to the extent authorized by law, or to refrain from exercising such regulation for any period of time, at the sole discretion of the Grantor. If and when exercising rate regulation, the Grantor shall abide by the terms and conditions set forth by the FCC. Nothing herein shall be construed to limit the Grantee's ability to offer or provide bulk rate discounts or promotions.

9.4 Continuity of Service. It shall be the right of all Subscribers to continue receiving Cable Service insofar as their financial and other obligations to the Grantee are honored, and subject to Grantee's rights under Section 14.2 of this Franchise.

SECTION 10
Franchise Fee

10.1 Amount of Fee. Grantee shall pay to the Grantor an annual franchise fee in an amount equal to five percent (5%) of the annual Gross Revenue. Franchise fees may be passed through to Subscribers as a line item on Subscriber bills or otherwise as Grantee chooses, consistent with federal law. The amount of franchise fee and the method of calculation shall be equal when compared to the amount or method of calculation of the franchise fee in any other cable franchise or authorization to provide video service granted by Grantor.

10.2 Payment of Fee. Payment of the fee due the Grantor shall be made on an annual basis, within forty-five (45) days of the close of each calendar year and transmitted by electronic funds transfer to a bank account designated by Grantor. The payment period and the collection of the franchise fees that are to be paid to the Grantor pursuant to the Franchise shall commence sixty (60) days after the Effective Date of the Franchise as set forth in Section 14.12. In the event of a dispute, the Grantor, if it so requests, shall be furnished a statement of said payment, reflecting the Gross Revenues and the applicable charges.

10.3 Accord and Satisfaction. No acceptance of any payment by the Grantor shall be construed as a release or as an accord and satisfaction of any claim the Grantor may have for additional sums payable as a franchise fee under this Franchise.

10.4 Limitation on Recovery. The period of limitation for recovery of any franchise fee payable hereunder shall be three (3) years from the date on which payment by the Grantee was due. If any undisputed Franchise payment or recomputed payment is not made on or before the dates specified herein, Grantee shall pay an interest charge, computed from the last day of the fiscal year in which payment was due, at the annual rate of one (1%) percent over the prime interest rate.

SECTION 11
Transfer of Franchise

11.1 Franchise Transfer. The Franchise granted hereunder shall not be assigned, other than by operation of law or to an entity controlling, controlled by, or under common control with the Grantee, without the prior consent of the Grantor, such consent not to be unreasonably withheld or delayed. No such consent shall be required, however, for a transfer in trust, by mortgage, by other hypothecation, or by assignment of any rights, title, or interest of the Grantee in the Franchise or Cable System to secure indebtedness. Within thirty (30) days of receiving a request for transfer, the Grantor shall notify the Grantee in writing of any additional information it reasonably requires to determine the legal, financial and technical qualifications of the transferee. If the Grantor has not taken action on the Grantee's request for transfer within one hundred twenty (120) days after receiving such request, consent by the Grantor shall be deemed given.

SECTION 12
Records

12.1 Inspection of Records. Grantee shall permit any duly authorized representative of the Grantor, upon receipt of advance written notice, to examine during normal business hours and on a non-disruptive basis any and all of Grantee's records maintained by Grantee as is reasonably necessary to ensure Grantee's compliance with the material terms of this Franchise. Such notice shall specifically reference the subsection of the Franchise that is under review so that the Grantee may organize the necessary books and records for easy access by the Grantor. The Grantee shall not be required to maintain any books and records for Franchise compliance purposes longer than one (1) year, provided that Grantee shall retain books and records relevant to the payment of the Franchise Fee for a period of three (3) years. The Grantee shall not be required to provide Subscriber information in violation of Section 631 of the Cable Act. The Grantor agrees to treat as confidential any books, records or maps that constitute proprietary or confidential information to the extent Grantee makes the Grantor aware of such confidentiality. If the Grantor believes it must release any such confidential books, records, or maps in the course of enforcing this Franchise, or for any other reason, it shall advise Grantee in advance so that Grantee may take appropriate steps to protect its interests. Until otherwise ordered by a court or agency of competent jurisdiction, the Grantor agrees that, to the extent permitted by State and federal law, it shall deny access to any of Grantee's books, records, or maps marked confidential, as set forth above, to any Person.

SECTION 13
Enforcement or Revocation

13.1 Notice of Violation. If the Grantor believes that the Grantee has not complied with the terms of the Franchise, the Grantor shall first informally discuss the matter with Grantee. If these discussions do not lead to resolution of the problem, the Grantor shall notify the Grantee in writing of the exact nature of the alleged noncompliance (the "Violation Notice").

13.2 Grantee's Right to Cure or Respond. The Grantee shall have thirty (30) days from receipt of the Violation Notice to (i) respond to the Grantor, contesting the assertion of noncompliance, or (ii) to cure such default, or (iii) if, by the nature of default, such default cannot be cured within the thirty (30) day period, initiate reasonable steps to remedy such default and notify the Grantor of the steps being taken and the projected date that they will be completed.

13.3 Public Hearing. If the Grantee fails to respond to the Violation Notice received from the Grantor, or if the default is not remedied within the cure period set forth above, the Board shall schedule a public hearing if it intends to continue its investigation into the default. The Grantor shall provide the Grantee at least twenty (20) days prior written notice of such hearing, which specifies the time, place and purpose of such hearing, notice of which shall be published by the Clerk of the Grantor in a newspaper of general circulation within the Grantor in accordance with subsection 14.8 hereof. At the hearing, the Board shall give the Grantee an opportunity to state its position on the matter, present evidence and question witnesses, after which it shall determine whether or not the Franchise shall be revoked. The public hearing shall be on the record and a written transcript shall be made available to the Grantee within ten (10) business days. The decision of the Board shall be made in writing and shall be delivered to the Grantee. The Grantee

may appeal such determination to an appropriate court, which shall have the power to review the decision of the Board *de novo*. The Grantee may continue to operate the Cable System until all legal appeals procedures have been exhausted.

13.4 Enforcement. Subject to applicable federal and State law, in the event the Grantor, after the hearing set forth in subsection 13.3 above, determines that the Grantee is in default of any provision of the Franchise, the Grantor may:

A. Seek specific performance of any provision, which reasonably lends itself to such remedy, as an alternative to damages; or

B. Commence an action at law for monetary damages or seek other equitable relief; or

C. In the case of a substantial default of a material provision of the Franchise, seek to revoke the Franchise itself in accordance with subsection 13.5 below.

13.5 Revocation.

A. Prior to revocation or termination of the Franchise, the Grantor shall give written notice to the Grantee of its intent to revoke the Franchise on the basis of a pattern of noncompliance by the Grantee, including one or more instances of substantial noncompliance with a material provision of the Franchise. The notice shall set forth the exact nature of the noncompliance. The Grantee shall have sixty (60) days from such notice to either object in writing and to state its reasons for such objection and provide any explanation or to cure the alleged noncompliance. If the Grantor has not received a satisfactory response from Grantee, it may then seek to revoke the Franchise at a public hearing. The Grantee shall be given at least thirty (30) days prior written notice of such public hearing, specifying the time and place of such hearing and stating its intent to revoke the Franchise. The public hearing shall be conducted in accordance with the requirements of Section 13.3 above.

B. Notwithstanding the above provisions, the Grantee reserves all of its rights under federal law or regulation.

C. Upon revocation of the Franchise, Grantee may remove the Cable System from the Streets of the Grantor, or abandon the Cable System in place.

SECTION 14
Miscellaneous Provisions

14.1 Compliance with Laws. Grantor and Grantee shall conform to all applicable state and federal laws and rules regarding cable television as they become effective. Grantee shall also conform with all generally applicable Grantor ordinances, resolutions, rules and regulations heretofore or hereafter adopted or established during the entire term of the Franchise. In the event of a conflict between Grantor ordinances, resolutions, rules or regulations and the provisions of this Franchise, the provisions of this Franchise shall govern.

14.2 **Force Majeure**. The Grantee shall not be held in default under, or in noncompliance with the provisions of the Franchise, nor suffer any enforcement or penalty relating to noncompliance or default, where such noncompliance or alleged defaults occurred or were caused by circumstances reasonably beyond the ability of the Grantee to anticipate and control. This provision includes, but is not limited to, severe or unusual weather conditions, fire, flood, or other acts of God, strikes, work delays caused by failure of utility providers to service, maintain or monitor their utility poles to which Grantee's Cable System is attached, as well as unavailability of materials and/or qualified labor to perform the work necessary.

14.3 **Minor Violations**. Furthermore, the parties hereby agree that it is not the Grantor's intention to subject the Grantee to forfeitures or revocation of the Franchise for violations of the Franchise where the violation was a good faith error that resulted in no or minimal negative impact on the Subscribers within the Franchise Area, or where strict performance would result in practical difficulties or hardship to the Grantee which outweighs the benefit to be derived by the Grantor and/or Subscribers.

14.4 **Action of Parties**. In any action by the Grantor or the Grantee that is mandated or permitted under the terms hereof, such party shall act in a reasonable, expeditious and timely manner. Furthermore, in any instance where approval or consent is required under the terms hereof, such approval or consent shall not be unreasonably withheld.

14.5 **Equal Protection**. If any other provider of cable services or video services (without regard to the technology used to deliver such services) is lawfully authorized by the Grantor or by any other State or federal governmental entity to provide such services using facilities located wholly or partly in the public rights-of-way of the Grantor, the Grantor shall within thirty (30) days of a written request from Grantee, modify this Franchise to insure that the obligations applicable to Grantee are no more burdensome than those imposed on the new competing provider. If the Grantor fails to make modifications consistent with this requirement, Grantee's Franchise shall be deemed so modified thirty (30) days after the Grantee's initial written notice. As an alternative to the Franchise modification request, the Grantee shall have the right and may choose to have this Franchise with the Grantor be deemed expired thirty (30) days after written notice to the Grantor. Nothing in this Franchise shall impair the right of the Grantee to terminate this Franchise and, at Grantee's option, negotiate a renewal or replacement franchise, license, consent, certificate or other authorization with any appropriate government entity. Nothing in this Section 14.5 shall be deemed a waiver of any remedies available to Grantee under federal, state or municipal law, including but not limited to Section 625 of the Cable Act, 47 U.S.C. § 545.

14.6 **Change in Law.** Notwithstanding any other provision in this Franchise, in the event any change to state or federal law occurring during the term of this Franchise eliminates the requirement for any person desiring to provide video service or Cable Service in the Franchise Area to obtain a franchise from the Grantor, then Grantee shall have the right to terminate this Franchise and operate the system under the terms and conditions established in applicable law. If Grantee chooses to terminate this Franchise pursuant to this provision, this Franchise shall be deemed to have expired by its terms on the effective date of any such change in law, whether or not such law allows existing franchise agreements to continue until the date of expiration provided in any existing franchise.

14.7 **Notices**. Unless otherwise provided by federal, State or local law, all notices pursuant to this Franchise shall be in writing and shall be deemed to be sufficiently given upon delivery to a Person at the address set forth below, or by U.S. certified mail, return receipt requested, nationally or internationally recognized courier service such as Federal Express or electronic mail communication to the designated electronic mail address provided below. As set forth above, notice served upon the Grantor shall be delivered or sent to:

Grantor:	Board of Josephine County Commissioners 500 NW 6th St, Dept. 6 Grants Pass, OR 97526
Email:	bcc@co.josephine.or.us
Grantee:	Director, Government Affairs Charter Communications 222 NE Park Plaza Drive, Suite 231 Vancouver, WA 98684
Email:	chris.madden@charter.com
Copy to:	Charter Communications Attn: Vice President, Government Affairs 601 Massachusetts Ave NW, Suite 400W Washington, DC 20001

14.8 **Public Notice**. Minimum public notice of any public meeting relating to this Franchise or any such grant of additional franchises, licenses, consents, certificates, authorizations, or exemptions by the Grantor to any other Person(s) to provide Cable Services, video services, or other television services utilizing any system or technology requiring use of the public rights of way shall be by publication at least once in a newspaper of general circulation in the area at least ten (10) days prior to the meeting and a posting at the administrative buildings of the Grantor.

14.8.1 Grantor shall provide written notice to Grantee within ten (10) days of Grantor's receipt from any other Person(s) of an application or request for a franchise(s), license(s), consent(s), certificate(s), authorization(s), or exemption(s) to provide Cable Services, video services, or other television services utilizing any system or technology requiring use of the public rights of way. Any public hearings to consider such application or request shall have the same notice requirement as outlined in Paragraph 14.7 above.

14.9 **Severability**. If any section, subsection, sentence, clause, phrase, or portion of this Franchise is, for any reason, held invalid or unconstitutional by any court of competent jurisdiction, such portion shall be deemed a separate, distinct and independent provision and such holding shall not affect the validity of the remaining portions of this Franchise.

14.10 **Entire Agreement**. This Franchise and any Exhibits hereto constitute the entire agreement between Grantee and the Grantor and they supersede all prior or contemporaneous agreements, representations or understandings (whether written or oral) of the parties regarding the subject matter hereof.

14.11 Administration of Franchise. This Franchise is a contract and neither party may take any unilateral action that materially changes the mutual promises and covenants contained herein. Any changes, modifications or amendments to this Franchise must be made in writing, signed by the Grantor and the Grantee. Any determination by the Grantor regarding the interpretation or enforcement of this Franchise shall be subject to de novo judicial review.

14.12 Effective Date. The Franchise granted herein will take effect and be in full force from such date of acceptance by Grantee recorded on the signature page of this Franchise. If any fee or grant that is passed through to Subscribers is required by this Franchise, such fee or grant shall go into effect sixty (60) days after the Effective Date of this Franchise.

14.13 No Third Party Beneficiaries. Nothing in this Franchise is intended to confer third-party beneficiary status on any person other than the parties to this Franchise to enforce the terms of this Franchise.

Considered and approved this ___ day of _____, 2026.

Josephine County
Board of Commissioners

Signature:_____

Name/Title:_____

Signature:_____

Name/Title:_____

Signature:_____

Name/Title:_____

Accepted this ___day of _____, 2026, subject to applicable federal and State law.

Spectrum Pacific West, LLC
By: Charter Communications, Inc., Its Manager

Signature:_____

Name/Title:_____

BEFORE THE BOARD OF COUNTY COMMISSIONERS FOR JOSEPHINE COUNTY
STATE OF OREGON

In the Matter of Suspending the Acceptance	)	
Of Applications for Mineral Exploration	)	Order 2026-020
Permits and Mining Leases	)	

WHEREAS, on February 19th, 2025, by Board Order 2025-012, the Board of County Commissioners suspended the acceptance and processing of applications for mineral exploration permits, mining leases, and mining permits for a period of one year, and

WHEREAS, the Board of County Commissioners intends to update Chapter 5.15 of the Josephine County Code which pertains to mining; and

WHEREAS, the consideration and approval of mineral exploration permits and mining leases costs public resources including staff time and consulting fees; and

WHEREAS, the Forestry Program should focus entirely on preparing and offering timber for sale as a steady and reliable source of revenue for the County; now therefore

IT IS HEREBY ORDERED that the acceptance and processing of applications for mineral exploration permits, mining leases, and mining permits suspension shall continue, effective February 20th, 2026.

IT IS FURTHER ORDERED that any applications that are currently pending are to be returned to the applicant along with a full refund of money paid by the applicant to the County.

IT IS FURTHER ORDERED that this suspension will remain in effect until July 8th, 2026, unless it is revoked or extended by a formal act of the Board of Commissioners.

DONE and DATED this ____ day of April, 2026, nunc pro tunc February 20, 2026.

JOSEPHINE COUNTY
BOARD OF COMMISSIONERS

_____
Ron Smith, Chair

_____
Coleen Martin, Vice-Chair

_____
Gary Richardson, Commissioner

Xiologix
8215 SW Tualatin-Sherwood Rd, Ste 200
Tualatin, OR 97062
5036914364

Item 6b

We have prepared a quote for you

Object First 432TB with 3 years support

QUOTE # JC014629 V1

PREPARED FOR

Josephine County IT

PREPARED BY

Jeff Cook

5036914364
jcook@xiologix.com
www.xiologix.com

Backup Storage

Qty	Product Details	MSRP	Sell	Total
Object First Ootbi appliance with: - 432TB usable capacity - 2GB/s ingest speed - 2x25G SFP+ ports - 2U rack space - 3 Years NBD Support				
1	**432TB Unit Standard Service and Support 3 YR NBD HW Service and 3 YR 24x365 support**	$135,995.00	$106,853.21	$106,853.21
			Subtotal:	**$106,853.21**

Services

Description		Price	Qty	Ext. Price
XIOLOGIX Professional Services - On site - Installation and configuration of Object First appliance. - Connection of Ootbi to Veeam. - Configure backup copy jobs to Ootbi.				
XIO-PS	**XIOLOGIX Professional Services - On-Site**	$4,000.00	1	$4,000.00
			Subtotal:	**$4,000.00**

5036914364
jcook@xiologix.com
www.xiologix.com

Object First 432TB with 3 years support

Prepared by:

Xiologix
Jeff Cook
(503) 691-4364 ext. 272
Fax 503-6129260
jcook@xiologix.com

Prepared for:

Josephine County IT
500 NW 6th Street., Dept 7
Grants Pass, OR 97526
Ken Clever
(541) 474-5232
kclever@co.josephine.or.us

Quote Information:

Quote #: JC014629
Version: 1
Delivery Date: 04/01/2026
Expiration Date: 04/17/2026

Quote Summary

Description	Amount
Backup Storage	$106,853.21
Services	$4,000.00
Total:	**$110,853.21**

Payment Options

Description	Payments	Interval	Amount
Term Options			
NET30	1	One-Time	$110,853.21

Due to ongoing cost fluctuations tied to tariffs, effective immediately, all quotes from Xiologix will align with the manufacturer's pricing, which are subject to price changes based on the day the order is placed and shipped.

Additional tariff-related fees will be passed along to you, as the end user. This change enables us to uphold accurate and up-to-date pricing in response to rapid shifts from our suppliers.

Taxes, shipping, handling and other fees may apply.

We reserve the right to cancel orders arising from pricing or other errors.

Xiologix

Signature: Jeff Cook

Name: Jeff Cook

Title: Director of Enterprise Sales

Date: 04/01/2026

Josephine County IT

Signature:

Name: Ken Clever

Date:

BEFORE THE BOARD OF COUNTY COMMISSIONERS
FOR JOSEPHINE COUNTY

Regarding: A Comprehensive Plan Map Change from Farm to Residential and a Zone Map Change from Farm Resource to Rural Residential-5 and goal exception	}	
Legal Description: 35-06-03-D0, Tax Lot (TL) 1400	}	**FINDINGS OF FACT AND DECISION**
Property Owners: Rose Butte LLC	}	
Applicant: Rhine-Cross Group LLC	}	
Representative: Lani Hickey	}	

I. REQUEST

This request is for a Comprehensive Plan change from Farm to Residential (R) designation and a Zone Map Change from Farm Resource (FR) to Rural Residential – 5 acre minimum (RR-5) and goal exception for property located at 8980 Monument Drive slightly over +/-7 miles North of the City of Grants Pass and about +/-1 mile south of Pleasant Valley. The property is a single legal parcel as determined by the Josephine County Planning Office is 45.03 acres in size. The parcel is currently developed with a residential homesite and outbuildings.

The request came before the Josephine County Planning Commission initially on October 27, 2025. The Planning Commission heard the request and unanimously recommended approval by the Josephine County Board of County Commissioners (the "Board"). Per the Josephine County Code (JCC), Section 19.46.020 – Review Procedures, the Board conducted a *de novo* hearing on March 9, 2026. Board Chair Ron Smith, Vice-Chair Colene Martin and Commissioner Gary Richardson conducted the hearing. There being no objection to the authority of the Board to hear the matter and no one declaring conflicts of interest, the public hearing was opened.

II. COMMENTS

Public Notice was sent to surrounding properties on February 11, 2026. No surrounding property owners commented either for or against the proposal. Josh Lebombard with DLCD previously commented on the application on May 20, 2025. His comments related to the irrevocably committed exception criteria in OAR 6660-004-0028 and the need for the applicant to address Goal 14. The applicant responded to the DLCD comments on July 21, 2025, with a copy to DLCD. The applicant further addressed the DLCD comments in an October 23, 2025, letter the Josephine County Planning Commission.

DLCD did not provide any follow up comments or communication on the application after its initial May 20, 2025, comments.

III. CRITERIA & STANDARDS FOR DECISION AND EVIDENCE

The evidence received is contained in the Director's file, along with all other documentation and evidence received and reviewed as part of this action. Other documentation may include aerial photographs, zoning maps, soil books, water studies, resource maps and inventories, facility plans, reports or comments from other agencies, and other like materials. These materials, in addition to the Director's file, are made a part of these findings by reference.

The application addresses county and state rules and policies as well as the above concerns reflected in the comments above as follows:

JCC Section 19.46.030 – Plan Amendment Application Requirements

A. Applications to amend the text or maps of the comprehensive plan may be initiated by the Board, the Planning Commission, the Planning Director, interested agencies or individuals.

B. All applications shall be submitted on forms provided by the Planning Director and shall be accompanied by required application fees; however, requests initiated by the Board, the Planning Commission or the Planning Director shall not require fees.

C. At a minimum the application shall:

1. Identify the specific policy, inventory, map, plan or ordinance sought to be changed;
2. Explain why the change is being requested (change in circumstances, new or different information, revise incorrect or incomplete information contained in previous efforts, etc.);
3. Include the exact language required to accomplish the proposed change in the text; or, in the case of a map amendment, include a scaled zoning map precisely identifying the area and designations to be changed;
4. Include a list of all state and local goals, together with a written explanation stating why the goals do or do not apply, and if the applicant believes one or more of the goals apply, how the proposed application is consistent with the requirements of the applicable goal or goals. The Planning Director or Review Body may specify different state and County goals as applicable to the application.
5. In the event the proposed change relates to an inventory, database, plan or ordinance, the application shall include the scientific and technical data, reports or other evidence prepared by an expert in that field necessary to support the change. It shall be the function of the Review Body to determine, based upon

substantial evidence in the record, whether the particular training and experience of a witness qualifies the witness to testify as an expert. Specifically:

a. More detailed soil data may be utilized to define classifications or characteristics of soils contained in the County's database, provided the data is credible and attested by a certified soil scientist; and

b. In the case of a change to a Goal 5 inventory, the application shall be accompanied by evidence demonstrating compliance with OAR Chapter 660, Division 23, as amended, which may include one or more economic, social, environmental and energy (ESEE) analyses.

6. In the event the proposed change relates to a map amendment, the application shall contain detailed evidence and other documentation showing how the request meets the criteria contained in JCC 19.46.050. [2005 RLDC § 46.030.]

Discussion: The application was submitted by Rhine-Cross Group on behalf of Rose Butte LLC which for purposes of this provision is an individual, all forms and fees were submitted, and the application included all information required in 1-6 of this subsection. The application was deemed complete by Josephine County planning staff on August 6, 2025.

JCC Section 19.46.040 – Plan Amendment Review Criteria

A. Amendments to a plan and zone map shall demonstrate compliance with all applicable statewide and County goals and policies.

Discussion: County goals that apply to this request meet the requirements of Section 19.46.030.C.4 as follows:

County Goals 1 & 2 These goals are intended to preserve farm and forest land. Goal 1 directs that valuable agricultural lands should be preserved for farm use. In this instance, the evidence demonstrates that it is infeasible to engage in any farm use on the property. It was zoned Farm Resource in 1981 and there is no evidence that it has ever been used for farming or other agricultural uses. The evidence demonstrates that there is a sever restriction on the ability to irrigate the land. While the property has 29 acres of irrigation rights to the Baker Reservoir, the reservoir does not produce enough water to beneficially use those rights for agricultural uses. A farm operator pursued purchasing the property within the last few years and the due diligence reported that in a good year the irrigation rights to the Baker Reservoir will provide sustained irrigation for a growing season for 1.5 acres. With that limitation, the land cannot support any farm operation. Goal 2 protects forest land. The property is not designated forest land and thus, Goal 2 does not apply directly. In any event there are few trees on the site making it infeasible for any forest operations.

County Goal 6: The focus of this goal is to prevent loss from natural and manmade hazards. A small portion of the site around Bannister Creek and Baker Reservoir has a flood plain designation. The proposal is to place that area in a non-development tract.

The remainder of the development site is not in a flood plain or within any documented landslide areas. Wildfires is the only natural hazard identified. That hazard affects most rural Oregon Counties and is addressed through the creation of defensible spaces and fire hardening construction.

County Goal 7: This goal is directed at preserving valuable limited resources, unique natural resource areas and historic features. The property does not have mapped resources either natural or historic. There are areas around Baker Reservoir that potentially are wetlands. However, the proposal is to create a non-development tract that includes the reservoir and surrounding areas. That is consistent with Goal 7

County Goals 8 and 9: These goals address pollution control and preserving energy. The proposal will not result in a significant increase in pollution. Rural residential uses do not in general generate an appreciable level of pollution certainly not at an unacceptable level. Modern construction codes also require energy preserving construction methods and materials.

County Goal 10: This goal largely describes the general land use categories to be used as a guide to implementing zones. Rural Residential will include those areas that are committed to non-resource uses or determined to be non-resource in capability; and used primarily for residential development. The rural character of these areas shall be preserved by appropriate lot sizes to ensure that uses do not exceed the physical capability of the land and services shall be provided to the extent necessary to maintain a rural lifestyle."

County Goal 11: This goal provides that the comprehensive plan is responsive to the "desires of its citizens…" and to "provide the rules and procedures for maintaining, amending and updating the various components of the plan." The policies of this goal lay out the procedure that is duplicated in JCC, Chapter 19.46.

Statewide Goals that apply to this request are:

Statewide Goal 1: Goal 1 is satisfied by the land use process required for approval of a comprehensive plan map amendment and a change in zoning. It requires proper notice and affords opportunity for public participation.

Statewide Goals 3 & 4: Goal 3 applies to this application because the property meets the definition of agricultural land. As addressed more below, the applicant is seeking an exception to Goal 3 under the applicable state statute and administrative rules. The property is not designated as forestland and an exception to Goal 4 is not required. Furthermore, changing the designation of the property from Farm to Residential and rezoning the property to RR-5 is not inconsistent with Goal 4. Although the property has soil that is capable of growing trees, there are few trees on the site and it is not capable of supporting any forest operations. .

Statewide Goal 14: As described in the applicant's July 21, 2025, and October 23, 2025, letters the proposal is consistent with Goal 14. The application demonstrates that the minimum lot size of five acres is well above the two-acre minimum size in a rural residential zone per OAR 660-004-0040(6)(b), it is well outside of the Grants Pass Urban Growth Boundary, and no urban services or infrastructure would be required. Approving the application will not result in urban uses on rural property. In addition, as explaining in the above letters, to the extent an exception to Goal 14 is required, the applicant submitted evidence and argument establishing that to requirements for a Goal 14 exception are met. The redesignation of the property will not result in the conversion of rural land to urban land. Urban level of services will not be extended or used. The uses, densities and public facilities/services from development under the new designation will not commit adjacent ort nearby resource and to uses not allowed under Goal 3 and are compatible with the adjacent and nearby uses.

B. Requests involving changes for lands from a resource designation to a nonresource designation shall either comply with statewide exception criteria contained in ORS 197.732, and as implemented in OAR Chapter 660-004 or demonstrate the land is nonresource pursuant to the criteria contained in JCC 19.46.050.

Discussion: This request involves a change from a resource designation (Farm) to a non-resource designation (Residential). As discussed in more detail below, the application demonstrates that the subject property qualifies for an exception the Statewide Planning Goal 3 based on the irrevocably committed exception criteria in OAR 660-004-0028.

C. Requests involving changes to the plan and/or zone maps shall demonstrate the land has adequate carrying capacity to support the densities and types of uses allowed by the proposed plan and zone designations.

1. The proposed density and types of uses can be supported by the facility, service and other applicable development standards contained in this title or contained in other applicable federal, state, and local rules and regulations governing such densities and types of uses;

   Discussion: These rules and regulations governing the proposed residential use and density are addressed throughout the application and these findings.

2. Other physical characteristics of the land and surrounding area make the land suitable for the proposed density and types of uses, to include consideration of existing or potential hazards (flood, wildfire, erosion), the degree of slopes, the presence of wetlands, geologic formations, mineral deposits and any other similar natural or manmade conditions or circumstances;

   Discussion: There is a small flood zone area along Bannister Creek and Baker Reservoir. The proposal is to include that area in a tract that will not be developed and thus provide even greater protection that the required 50-foot setback.

According to FEMA mapping, the portions of the site proposed for development have a minimal flood hazard risk.

There are no delineated wetlands on the property. However, there are areas adjacent to Baker Reservoir that appear to be wetlands. All of those areas are included in the nondevelopment tract and thus are protected.

Wildfire was another extremely important concern. It is also of concern by the county, which has rigorous requirements for wildfire protection in JCC 19.76 in terms of wildfire safety zones around all structures (100 feet), access to water, driveway design, building materials, fire-resistant plants around structures, and protection by a private fire department. The property is not located within a fire protection district.

3. The land in its natural state accommodates the proposed uses and densities, or special alterations or mitigation plans can make the land achieve the carrying capacity described under subsections (C)(1) and (2) of this section;

   Discussion: The surrounding residential development as described in Subsection D below indicate that future development of this property can be supported by the facility, service and other applicable standard contained in the JCC and/or other applicable federal, state and local rules and regulations as the following descriptions indicate.

Water. Clouser Drilling confirmed that the potential for ground water at the site is substantial. It has two "productive wells" that produced 14 and 16 gpm after four hour flow test. In addition, Clouser Drilling confirmed there are wells drilled in the area with production at 50, 75 and 20 gpm respectively. The geology provides the ability to transmit ground water effectively when fractures are encountered in the decomposed and Brown and White Granite found in the area.

Septic. Druthers Construction a certified septic installer confirmed that the site is suitable for septic systems. It has installed multiple septic systems of the type and size anticipated to support rural residential uses.

Access. The site has frontage on and access to Monument Drive, a county road. The Conty Road Department received notice of the application and did not raise any objections or concerns.

4. Development pursuant to the proposed uses or densities will not significantly increase the risk from hazards to the residents of the development, the area or the general public;

   Discussion: The record shows that engineered mitigation or avoidance of all hazards will not significantly increase the risk to the residents of the development, the area or the general public.

5. Features of the development will not result in future maintenance costs to the public for the infrastructure needed to serve the development and the area that are atypically higher than expenses for other developments in the same plan and zone designations (examples of infrastructure include streets, bridges, storm drain facilities, erosion and sediment control facilities, and other similar public infrastructure facilities); and

   Discussion: JCC requires that the costs of all applicable infrastructure including a public road, a bridge, storm drain facilities, erosion and sediment control, and other similar public infrastructure facilities be borne by the developer during the subdivision phase. In this case, the public roads are the only public infrastructure that will support development on the site. The applicant submitted a formal traffic report that found that the existing public road facilities have capacity to support the proposed development. In addition, as noted above, the County Road Department did not raise any concerns over impacts on the public roads.

6. Special circumstances exist at or near the site that justify increased risks, expensive or complex mitigation plans, or higher infrastructure costs to the public from the development.

   Discussion: There are no special circumstances at or near the property that increase risks or require expensive mitigation plans or infrastructure costs to the public in future development.

D. The density and types of uses authorized by the proposed plan and zoning designations are appropriate based on the requirements of subsections (D)(1) and (2) of this section:

   1. The change in designations at the location is consistent with the character of the surrounding area. Consistency shall be demonstrated by a detailed review of the relationship between the area covered by the proposed change in designations and the surrounding area, subject to the following rules.

      a. The detailed review shall describe the similarities or dissimilarities between the area of proposed change and the surrounding area based upon parcel size and ownership patterns, zoning, existing or authorized land uses and structures, public facilities and services, and natural or man-made features.

      b. The detailed review shall include a written statement explaining the rationale used to include or exclude areas from study, and be supported by zoning maps, aerial photographs, contour maps, and any other public or private records, statistics or other documents necessary or helpful to establish the character of the area and show how the change will be consistent.

Discussion: The application narrative along with maps, photographs, tables and other documentation illustrates that the change in designation to Rural Residential is consistent with the surrounding area in terms of zoning, parcel size, slopes, and other physical characteristics. The study area consisted of 1,720 acres and 468 parcels including the subject property. Over 91% of the parcels included are zoned RR-5 or RR-2.5. The vast majority of them are developed consistent with that zoning. Residentially-zoned property abuts the subject property to the north and east. The properties to the west and south are zoned Farm Resource but were partitioned into smaller residential parcels pursuant to Measure 37 claims. The general area is flat with similar vegetation and soil patterns, and well-developed residential uses.

2. Demonstrate how the introduction of inconsistent density or uses into an area is justified.

   Discussion: As discussed in detail in the application narrative, the request would not introduce inconsistent density or uses into the area.

E. Requests involving changes to the plan and/or zone maps within established exception areas shall demonstrate the change complies with the criteria contained in OAR 660-004-0018 governing plan and zone changes within exception areas.

Discussion: The request does not involve a change in an established exception area. The property is not located within an exception area.

State Statutes and Rules

ORS 197.732 and OAR 660-004-0028

ORS 197.732(2) provides:

(2) A local government may adopt an exception to a goal if:

(a) The land subject to the exception is physically developed to the extent that it is no longer available for uses allowed by the applicable goal;

(b) The land subject to the exception is irrevocably committed as described by Land Conservation and Development Commission rule to uses not allowed by the applicable goal because existing adjacent uses and other relevant factors make uses allowed by the applicable goal impracticable; or

(c) The following standards are met:

(A) Reasons justify why the state policy embodied in the applicable goals should not apply;

(B) Areas that do not require a new exception cannot reasonably accommodate the use;

(C) The long term EESE consequences from the proposed site....[1]

(D) The proposed uses are compatible with other adjacent uses or will be so rendered through measures designed to reduce adverse impacts.

Discussion: The statutory text, particularly the use of the term "or" and the implementing regulations, OAR 660-014-0030 make it clear that the three basis for approving an exception are disjunctive. In other words, if an irrevocably committed exception is supported, the four factors in OAR 660-004-0020 (2) (Reasons criteria) need not be addressed. The application is based upon ORS 197.732(2)(b), the irrevocably committed exception. OAR 660-004-0028 follows the statutory language.

As the applicant set forth in its July 21, 2025, letter, the four primary factors on which a county must make findings to approve an irrevocably committed exception are:

(a) The characteristics of the exception area;
(b) The characteristics of the adjacent lands;
(c) The relationship between the exception area and the lands adjacent to it; and
(d) The other relevant factors set forth in OAR 660-004-0028(6).

Local governments are not required to demonstrate that every use allowed by the applicable goal is impossible, just that resource uses are rendered impracticable. OAR 660-004-0028(3); Lancefield Farm Co. v. Yamhill County, 56 Or LUBA 781 (2008). In addressing whether resource uses have been rendered impractical, one is directed to the factors in OAR 660-004-0028(6): existing adjacent uses, existing public facilities and services, parcel size and ownership patterns, neighborhood and regional characteristics, natural and man-made features or other impediments separating the exception area from other resource land, physical development and other relevant factors.

The Oregon Court of Appeals and LUBA each confirm that the primary focus is on the relationship between the exception area and the lands adjacent to it. Department of Land Conservation and Development v. Curry County, 151 Or App 7 (1997; Dooley and Barker v. Wasco County, __ Or LUBA ___, LUBA No. 2022-045 (October 31, 2022), Slip Opinion at 4. In Curry County, the court further confirmed that while not a controlling or dominant factor, the suitability of the subject land to support resource uses is one of the other relevant factors counties can consider under OAR 660-004-0028(6). Curry County, 151 Or App at 12.
The applicant addressed the six factors in OAR 660-004-0028(6) in its Burden of Proof (pages 54-56) as well as in its July 21, 2025, and October 23, 2025, letters. In examining existing uses on adjacent properties, in particular the parcel size and ownership patterns, OAR 660-004-0028(6) instructs that one is to look at how the parcels and ownership

[1] Some of the text in this subjection was eliminated for brevity because this subsection is not relevant to the application which is based on subsection(2)(b).

pattern came to be. Parcels created consistent with Goal 3 cannot be considered. Here, there is no evidence that any of the adjacent properties were developed through processes that found consistency with Goal 3.
Focusing on adjacent properties, the properties north and east of the exception site are zoned RR-5 and RR-2.5. The land is divided into small rural residential parcels and mostly developed with housing, septic systems, wells and other accouterments for residential living. OAR 660-004-0028(6) requires an examination of how the adjacent parcels and uses came to be. Development approved under Goal 3 and found to be consistent with the goal is generally not considered for an exception.

There was no evidence presented to show that and of the adjacent or nearby land was divided consistent with Goal 3. The staff report indicates that the area around the subject property was zoned residential before Goal 3 came into existence. Thus, it could not have been divided consistent with Goal 3. The adjacent properties to the west and south remain zoned FR. However, they were divided into small residential parcels under Measure 37. There is no authority for the proposition that the creation of small Measure 37 parcels is consistent with Goal 3. In fact, such parcels exist because the county was compelled to not apply resource regulations and standards to the property in lieu of paying compensation.

Another factor is whether manmade impediments separate the subject site from other resource land. Here, man-made impediments (smaller RR-2.5 and RR-5 parcels with homes) completely isolate the subject site from any other resource land. There is no resource land adjacent to or in the immediate vicinity. The applicant went beyond the adjacent area and examined 1,720 acres with 468 parcels. Of that total 427, or just over 91 % of those parcels are zoned RR-2.5 or RR-5.[2] *Most are developed with rural residential uses. Not only do the facts demonstrate that the adjacent land is irrevocably committed, with the exception of one parcel that is isolated from the subject site, the entire area has been developed inconsistent with Goal 3 uses.*

The adjacent and nearby residential uses present conflicts that make farming impracticable, even if one ignores the significant limitations associated with the lack of irrigation and the history of farmers declining to purchase the property because it is not suitable for any farm use. Farming operations generate significant dust, noise, odor all that impact livability. Farming operations must spay chemical for fertilization and insect control. Those actions dramatically impact residential living. Farm operations introduce large equipment on the local road where the families who reside walk and play in or near the roads. The problem that the conflicting uses generate along with the documented unsuitability of the land in the subject site combine to support a finding that it is not practical to engage in resource uses on the exception site. The applicant could not locate in county records that the dwellings were approved with any covenants waiving the right to remonstrate against farming activities, many of which are incompatible with residential living.

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[2] With only a handful of exceptions, the existing parcel sizes within the RR-2.5 and RR-5 zones in the study area are consistent with the minimum lot size. In other words, most of the parcels in the RR-2.5 zone are 2.5 acres or less and most of the RR-5 zoned parcels are approximately 5 acres more or less.

Statewide Goal 14-Urbanization.

The issues under Goal 14 are whether the proposal introduces urban uses on rural land and whether an exception to Goal 14 is required

Discussion: As explained by the applicant in its July 21, 2025, and October 23, 2025, letters, zoning the subject property RR-5 and allowing development permitted under that zoning will not introduce urban uses on rural land. The only public facility that will serve the proposed development are rural county roads. All other services will be privately provided including water and sewer.

However, if an exception is required, the applicant provided an analysis in the letters referred to above explaining how the factors for a Goal 14 exception as set forth in OAR 660-004-0018(2) and OAR 660-014-0030. In summary, the uses allowed are rural and the public services required will maintain the land as rural land. The rural uses, densities and public facilities and services will not commit adjacent or nearby resource land to uses not allowed under the applicable goals. The rural uses, densities and public services are compatible with adjacent or nearby uses.

IV. FINDINGS

The Board finds that, per JCC Section 19.46.030, the application is complete.

The Board finds that, per JCC Section 19.46.040, all applicable statewide and County goals and policies have been addressed.

The Board finds that the property has the carrying capacity for the proposed density and use in terms of on-site water, septic, and access.

The Board finds that existing hazards such as flood and erosion can be mitigated by an erosion-control/stormwater drainage plan by a professional registered engineer.

The Board finds that wetlands on the property can either be avoided or mitigated.

The Board finds that the wildfire hazard can be significantly reduced be adherence to JCC Section19.76 Wildfire Safety Requirements, by fuels reduction in the wooded areas, water storage tanks, a looped public road and so on.

The Board finds that the property is not located within the protected deer winter range, that there are no documented endangered wildlife species on the property, and that the use will not significantly impact wildlife in the area.

The Board finds that future development of the property will not significantly increase risks to the residents of the development, the area or the general public; nor will it result in future infrastructure maintenance costs to the public.

The Board finds that the proposed residential density and use are consistent with the surrounding area.

The Board finds that the subject property falls under the OAR 660-033-0020(1)(a) definition of agricultural land and that, an exception to Statewide Goal 3 is required under JCC Section19.46.040(B).

The Board finds that after applying the requirements and factors identified in ORS 197.732 and OAR 660-004-0028, the subject property has been irrevocably committed to non-resource land based on the development and uses on adjacent and nearby lands that render it impracticable to conduct Goal 3 resource uses on the subject property.

The Board finds that the subject property is not designated as forest land forest land and thus, the applicant is not required to seek an exception to Statewide Goal 4 or demonstrate that the property is not resource land, specifically forestland.

The Board finds that the proposal will not result in introducing urban uses on rural land and thus, the proposal is consistent with Goal 14. Alternatively, the Board finds that the applicant demonstrated that the requirements for an exception to Goal 14 have been met with the application.

The Board finds that the proposed residential density and use are consistent with the surrounding area and that a 5-acre minimum sized lots are appropriate for the subject property.

V. CONCLUSION

Based upon the above evidence, the record, applicable criteria for decision, and findings, the Board of County Commissioners concludes that the request for a Comprehensive Plan Map Amendment from Farm to Residential and a Zone Map Change from Farm Resource (FR) to Rural Residential (RR-5) and goal exception for the subject properties complies with the requirements of Josephine County and State law pertaining to such matters.

VI. DECISION

Therefore, based on the staff report and evidence submitted into the record, the Josephine County Board of Commissioners, upon a motion by Commissioner Martin seconded by Commissioner Richardson and by a vote of 3-0, approve the request for a Comprehensive Plan Map Amendment from Farm to Residential and a Zone Map Change from Farm Resource (FR) to Rural Residential 5 (RR-5) and goal exception for the property more precisely described as Assessors Map T35S R6W Section 03-D0, Tax Lot 1400.

Adopted this _____ day of _____, 2026, by the Josephine County Board of Commissioners.

JOSEPHINE COUNTY
BOARD OF COMMISSIONERS

_____
Ron Smith, Chair

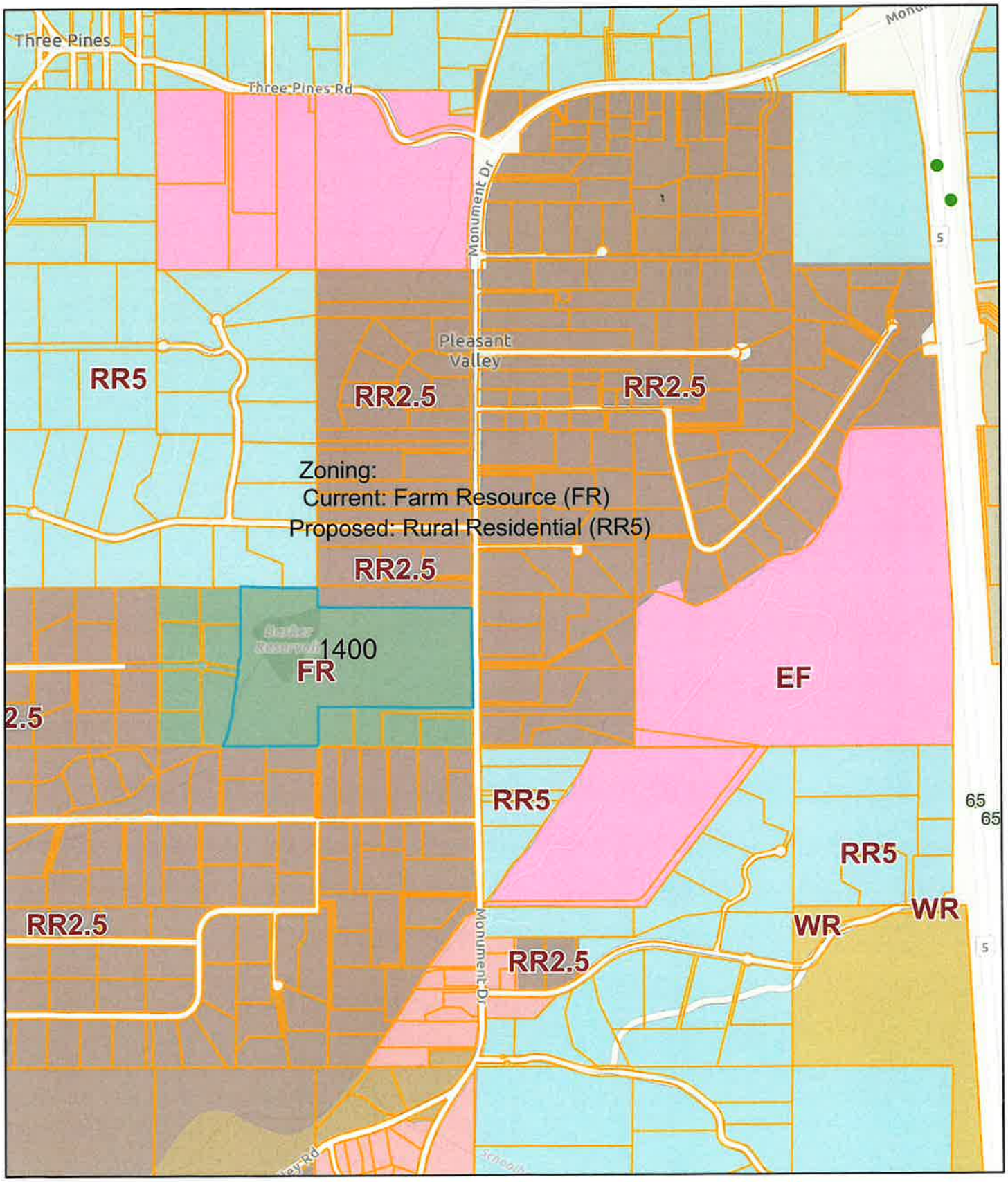
_____
Colene Martin, Vice Chair

_____
Gary Richardson, Commissioner

Approved as to form:

_____
Chase Beguin, legal councel

ArcGIS Web Map



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Mile Markers

Taxlots

Zoning

FR

RC

RI

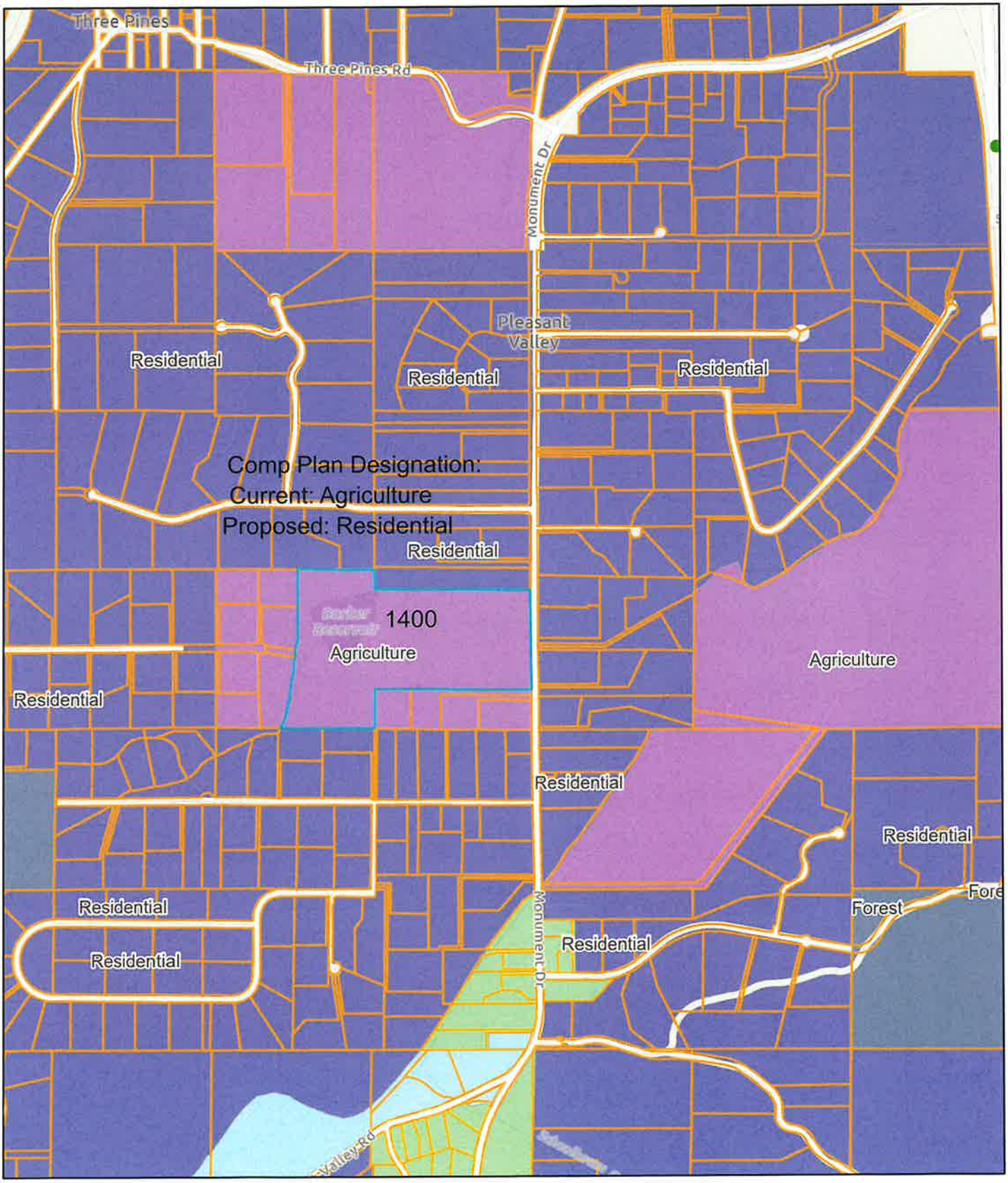
RR5

S

WR

Sources: Esri, TomTom, Garmin, FAO, NOAA, USGS, © OpenStreetMap

ArcGIS Web Map



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Mile Markers

Taxlots

Comprehensive Plan

Commercial

Forest

Industrial

Sources: Esri, TomTom, Garmin, FAO, NOAA, USGS, © OpenStreetMap

Agreement Number
AJF-ON-AAC-26-AC-007695

NON-FEDERAL REIMBURSABLE AGREEMENT

BETWEEN

DEPARTMENT OF TRANSPORTATION
FEDERAL AVIATION ADMINISTRATION

AND

JOSEPHINE COUNTY AIRPORTS
GRANT PASS, OR

WHEREAS, the Federal Aviation Administration (FAA) can furnish directly or by contract, material, supplies, equipment, and services which the **Josephine County Airports** (Sponsor) requires, has funds available for, and has determined should be obtained from the FAA;

WHEREAS, it has been determined that competition with the private sector for provision of such material, supplies, equipment, and services is minimal; the proposed activity will advance the FAA's mission; and the FAA has a unique capability that will be of benefit to the Sponsor while helping to advance the FAA's mission;

NOW THEREFORE, the FAA and the Sponsor mutually agree as follows:

ARTICLE 1. Parties

The Parties to this Agreement are the FAA - Flight Program Operations and **Josephine County Airports**.

ARTICLE 2. Type of Agreement

This Agreement is an "other transaction" authorized under 49 U.S.C. § 106(l)(6). It is not intended to be, nor will it be construed as, a partnership, corporation, joint venture or other business organization.

ARTICLE 3. Scope

A. The purpose of this Agreement between the FAA and the Sponsor is to **provide a commissioning flight inspection of the PAPI/REIL on Rwy 13 & MIRLs on Rwys 13/31 at Grants Pass Airport (K3S8) Grants Pass, OR.** This Agreement provides funding for the FAA to establish these services. Therefore, this Agreement is titled:

Josephine County Airports, Grants Pass, OR

B. The FAA will **perform a commissioning flight inspection of the PAPI/REIL on Rwy 13 & MIRLs on Rwys 13/31 at Grants Pass Airport (K3S8) Grants Pass, OR.**

C. The Sponsor will perform the following activities:

1. Provide funding as estimated in Article 7.

2. Upon signature and payment of agreement, contact Richard Montgomery at 405-954-0792 or Richard.Montgomery@faa.gov once the site is ready for inspection. You may also call the Oklahoma City Service Center if you have any questions at 405-954-9780.

D. This agreement is in whole or in part funded with funding from an AIP grant [X] Yes [ ] No. If Yes, the grant date is: TBD and the grant number is: 3-41-0023-021-2026. If the grant information is not available at the time of agreement execution, the Sponsor will provide the grant information to the FAA when it becomes available.

ARTICLE 4. Points of Contact

A. FAA:

1. The FAA, **Flight Program Operations, Program Support Group** will provide administrative oversight of this Agreement. **Joseph Culpepper** is the **Agreement Coordinator** and liaison with the Sponsor and can be reached at 678-284-8741 or via email at joseph.m.culpepper@faa.gov. This liaison is not authorized to make any commitment, or otherwise obligate the FAA, or authorize any changes which affect the estimated cost, period of performance, or other terms and conditions of this Agreement.

2. The FAA, **Flight Program Operations, Flight Operations Group** will perform the scope of work included in this Agreement. **Richard Montgomery is** the **Lead Scheduler**, Flight Program Operations, and liaison with the Sponsor for any Flight Inspection issues and can be reached at 405-954-9780 or via email at richard.montgomery@faa.gov. These liaisons are not authorized to make any commitment, or otherwise obligate the FAA, or authorize any changes which affect the estimated cost, period of performance, or other terms and conditions of this Agreement.

3. The execution, amendment, and administration of this Agreement must be authorized and accomplished by the FAA's Contracting Officer, **Joe Oglesby** who can be reached at 405-954-7835 or via email at **joe.oglesby@faa.gov**.

B. Sponsor:

Sponsor:	Josephine County Airports
ATTN:	Cherie Jadot– Interim Manager Josephine County Airports
Address:	1441 Brookside Blvd Grants Pass, OR 97526-7209
Phone:	541-955-4535
E-mail:	cjadot@josephinecounty.gov

ARTICLE 5. Non-Interference with Operations [RESERVED]

ARTICLE 6. Property Transfer [RESERVED]

ARTICLE 7. Estimated Costs

A. The estimated FAA costs associated with this Agreement are as follows:

DESCRIPTION OF REIMBURSABLE ITEM	ESTIMATED COST
LABOR	
NON-LABOR	
RA Administration	$1,313.25
Technical Review	$1,884.48
Flight Inspection	$29,216.00
Non-Labor Subtotal	$32,413.73
Non-Labor Overhead (8%)	$2,593.10
Total Non-Labor	**$35,006.83**
TOTAL ESTIMATED COST	**$35,006.83**

Detailed Estimate:

Flight Inspection Estimated Cost
Beech Rate $3,518/hr.
Challenger Rate $5,312/hr.

	Type	Hours	Events
PAPI/REIL on Rwy 13 & MIRLs on Rwys 13/31 at K3S8	Commissioning	**5.5**	**4**

B. FAA reserves the right to determine which aircraft will be used for inspections. Flight hour rates will be adjusted annually. Application of Flight Hour Rates or as approved by the Flight Program Executive. The **estimates** are based on rates in effect at the time this Agreement is signed.

C. Estimated costs contained herein are for planning purposes only and can vary depending on the actual aircraft used, and actual flight hours expended to reach the facility and to accomplish the inspection. As required by regulation, the final bill submitted to the customer will reflect **actual** hours and costs to the FAA.

D. FAA flight inspection aircraft may be delayed from scheduled itineraries for unanticipated reasons such as a National Airspace System priority, weather, or unscheduled aircraft maintenance. FAA is not responsible for any additional cost the Sponsor may incur if an inspection must be rescheduled.

E. Any modification, upgrade, configuration change, or substitution to the technology, system, or equipment subject to inspection that occurs after execution of this Agreement shall be promptly communicated to the FAA. Such changes may require additional coordination, evaluation, documentation, or flight inspections, and may result in adjustments to scope, schedule, and reimbursable costs under this Agreement.

F. The sponsor is responsible for all flight hours associated with positioning the aircraft to the inspection location and/or returning the aircraft to its home base.

ARTICLE 8. Period of Agreement and Effective Date

The effective date of this Agreement is the date of the last signature. This Agreement is considered complete when the final invoice is provided to the Sponsor and a refund is sent or payment is received as provided for in Article 9 of this Agreement. This Agreement will not extend more than five years beyond its effective date.

ARTICLE 9. Reimbursement and Accounting Arrangements

A. The Sponsor agrees to prepay the entire estimated cost of the Agreement. The Sponsor will send an electronic copy of the Agreement to the FAA Agreement Coordinator for FAA signature. The Sponsor will also send a copy of the executed Agreement and submit full advance payment in the amount stated in Article 7 to the Reimbursable Receipts Team listed in Section C of this Article. The advance payment will be held as a non-interest bearing deposit. Such advance payment by the Sponsor must be received before the FAA incurs any obligation to implement this Agreement. Upon completion of this Agreement, the final costs will be netted against the advance payment and, as appropriate, a refund or final bill will be sent to the sponsor, except as described in section D of this Article. Per U.S. Treasury guidelines, refunds under $1.00 will not be processed. Additionally, FAA will not bill the sponsor for amounts less than $1.00.

B. The Sponsor certifies that arrangements for sufficient funding have been made to cover the estimated costs of the Agreement.

C. The Reimbursable Receipts team is identified by the FAA as the billing office for this Agreement. The preferred method of payment for this agreement is via Pay.Gov. The sponsor can use a check or credit card to provide funding in this manner and receipt-processing time is typically within 3 working days. Alternatively, the sponsor can mail the payment to the address shown below. When submitting funding by mail, the Sponsor must include a copy of the executed Agreement and the full advance payment. All payments mailed to the FAA must include the Agreement number, Agreement name, Sponsor name, and project location. Payments submitted by mail are subject to receipt-processing delay of up to 10 working days.

FAA payment remittance address using USPS is:

DOT/FAA/ESC
P.O. Box 25770
AMK-322 – MPB 328
Oklahoma City, OK 73125

FAA payment remittance address using Fed Ex (overnight) is:

DOT/FAA/ESC
AMK-322 – MPB328
6500 S. MacArthur Blvd.
Oklahoma City, OK 73169

The Sponsor hereby identifies the office to which the FAA will render bills for the project costs incurred as:

Sponsor:	**Josephine County Airports**
ATTN:	**Cherie Jadot– Interim Manager Josephine County Airports**
Address:	**1441 Brookside Blvd**
	Grants Pass, OR 97526-7209
Phone:	**541-955-4535**
E-mail:	**cjadot@josephinecounty.gov**

D. The FAA will accept payments under this Article from only one of two sources: either (1) the Sponsor or (2) a Third Party on behalf of the Sponsor, and the same source must make all required payments. If a Third Party makes the payments, then any refund due from FAA upon completion of the Agreement will be returned to that Third Party.

E. The cost estimates contained in Article 7 are expected to be the maximum costs associated with this Agreement, but may be amended to recover the FAA's actual costs. If during the course of this Agreement actual costs are expected to exceed the estimated costs, the FAA will notify the Sponsor immediately. The FAA will also provide the Sponsor an amendment to the Agreement which includes the FAA's additional costs. The Sponsor agrees to prepay the entire estimated cost of the amendment. The Sponsor will send a copy of the executed amendment to the Agreement to the Reimbursable Receipts Team with the additional advance payment. Work identified in the amendment cannot start until receipt of the additional advance payment. In addition, in the event that a contractor performing work pursuant to the scope of this Agreement brings a claim against the FAA and the FAA incurs additional costs as a result of the claim, the Sponsor agrees to reimburse the FAA for the additional costs incurred whether or not a final bill or a refund has been sent.

ARTICLE 10. Changes and Amendments

Changes and/or amendments to this Agreement will be formalized by a written amendment that will outline in detail the exact nature of the change. Any amendment to this Agreement will be executed in writing and signed by the authorized representative of each party. The parties signing this Agreement and any subsequent amendment(s) represent that each has the authority to execute the same on behalf of their respective organizations. No oral statement by any person will be interpreted as amending or otherwise affecting the terms of the Agreement. Any party to this Agreement may request that it be amended, whereupon the parties will consult to consider such amendments.

ARTICLE 11. Termination

In addition to any other termination rights provided by this Agreement, either party may terminate this Agreement at any time prior to its expiration date, with or without cause, and without incurring any liability or obligation to the terminated party other than payment of amounts due and owing and performance of obligations accrued, in each case on or prior to the termination date, by giving the other party at least thirty (30) days prior written notice of termination. Payment of amounts due and owing may include all costs reimbursable under this Agreement, not previously paid, for the performance of this Agreement before the effective date of the termination; the total cost of terminating and settling contracts entered into by the FAA for the purpose of this Agreement; and any other costs necessary to terminate this Agreement. Upon receipt of a notice of termination, the receiving party will take immediate steps to stop the accrual of any additional obligations which might require payment. All funds due after termination will be netted against the advance payment and, as appropriate, a refund or bill will be issued.

ARTICLE 12. Order of Precedence [RESERVED]

ARTICLE 13. Legal Authority

This Agreement is entered into under one or more of the following authorities: 49 U.S.C. § 106(l), 31 U.S. Code 6505 Intergovernmental Cooperation Act. Nothing in this Agreement will be construed as incorporating by reference or implication any provision of Federal acquisition law or regulation.

ARTICLE 14. Disputes

Where possible, disputes will be resolved by informal discussion between the parties. In the event the parties are unable to resolve any dispute through good faith negotiations, the dispute will be resolved by alternative dispute resolution using a method to be agreed upon by the parties. The outcome of the alternative dispute resolution will be final unless it is timely appealed to the Administrator, whose decision is not subject to further administrative review and, to the extent permitted by law, is final and binding (see 49 U.S.C. § 46110).

ARTICLE 15. Warranties

The FAA makes no express or implied warranties as to any matter arising under this Agreement, or as to the ownership, merchantability, or fitness for a particular purpose of any property, including any equipment, device, or software that may be provided under this Agreement.

ARTICLE 16. Insurance

The Sponsor will arrange by insurance or otherwise for the full protection of itself from and against all liability to third parties arising out of, or related to, its performance of this Agreement. The FAA assumes no liability under this Agreement for any losses arising out of any action or inaction by the Sponsor, its employees, or contractors, or any third party acting on its behalf.

ARTICLE 17. Limitation of Liability

To the extent permitted by law, the Sponsor agrees to indemnify and hold harmless the FAA, its officers, agents and employees from all causes of action, suits or claims arising out of the work performed under this Agreement. However, to the extent that such claim is determined to have arisen from the act or omission by an officer, agent, or employee of the FAA acting within the scope of his or her employment, this hold harmless obligation will not apply and the provisions of the Federal Tort Claims Act, 28 U.S.C. § 2671, et seq., will control. The FAA assumes no liability for any losses arising out of any action or inaction by the Sponsor, its employees, or contractors, or any third party acting on its behalf. In no event will the FAA be liable for claims for consequential, punitive, special and incidental damages, claims for lost profits, or other indirect damages.

ARTICLE 18. Civil Rights Act

The Sponsor will comply with Title VI of the Civil Rights Act of 1964 relating to nondiscrimination in federally assisted programs.

ARTICLE 19. Protection of Information

The parties agree that they will take appropriate measures to identify and protect proprietary, privileged, or otherwise confidential information that may come into their possession as a result of this Agreement.

ARTICLE 20. Security

In the event that the security office determines that the security requirements under FAA Order 1600.1F applies to work under this Agreement, the FAA is responsible for ensuring that security requirements, including compliance with AMS clause 3.14.2, Contractor Personnel Suitability Requirements are met.

ARTICLE 21. Entire Agreement

This document is the entire Agreement of the parties, who accept the terms of this Agreement as shown by their signatures below. In the event the parties duly execute any amendment to this Agreement, the terms of such amendment will supersede the terms of this Agreement to the extent of any inconsistency. Each party acknowledges participation in the negotiations and drafting of this Agreement and any amendments thereto, and, accordingly that this Agreement will not be construed more stringently against one party than against the other. If this Agreement is not executed by the Sponsor within 120 calendar days after the FAA transmits it to the Sponsor, the terms contained and set forth in this Agreement shall be null and void. Additionally, the FAA expects this agreement to be funded within 120 days of execution, if funding is not received by that date; the FAA may exercise the right to renegotiate estimated costs.

AGREED:

FEDERAL AVIATION ADMINISTRATION		**JOSEPHINE COUNTY AIRPORTS**	
SIGNATURE	_____	SIGNATURE	_____
NAME	Joe Oglesby	NAME	Cherie Jadot
TITLE	Contracting Officer	TITLE	Interim Manager
DATE	_____	DATE	_____

From: 9-AJO-AJF-4100ReimAgrRequest (FAA)
To: Barrett, Kadi D (FAA)
Subject: FW: Updated FY26 Flight Hour Rates for FAA Aircraft and Fee Structure
Date: Monday, December 1, 2025 1:25:55 PM

From: 9-AJO-AJF-4100ReimAgrRequest (FAA)
Sent: Wednesday, October 15, 2025 9:22 AM
To: 9-AJO-AJF-4100ReimAgrRequest (FAA) <9-AJO-AJF-4100ReimAgrRequest@faa.gov>
Subject: FW: Updated FY26 Flight Hour Rates for FAA Aircraft and Fee Structure

From: 9-AJO-AJF-4100ReimAgrRequest (FAA)
Sent: Tuesday, October 7, 2025 1:33 PM
Subject: Updated FY26 Flight Hour Rates for FAA Aircraft and Fee Structure

Federal Aviation Administration (FAA) Flight Program Operations (AJF) updated the Fiscal Year 2026 (FY26) reimbursable agreement flight hour rates. Beginning on October 1st, 2025, these updated rates will apply to all new and existing reimbursable agreements.
You are receiving this message because you are listed as a project sponsor of a reimbursable agreement with the FAA for flight inspection services.

The revised flight hour rates are as follows:

Project Type	Aircraft Type	Hourly Reimb Rate
CONUS	Beechcraft BE-300	$3,518
	Challenger 600 Series	$5,312
OCONUS[1]	Beechcraft BE-300	$4,138
	Challenger 600 Series	$5,697

Consistent with reimbursable agreement policy, Office of Management and Budget (OMB) directives, and executive orders emphasizing cost efficiency and accountability, AJF is introducing a fixed technical review fee to cover procedure review and associated administrative work. This technical review fee will be applied to new and existing reimbursable agreements, and consists of:

- A flat fee of $1313.25 for the initial setup of each new reimbursable agreement (existing reimbursable agreements grandfathered)
- A flat fee per event of $117.78 for periodic inspections and $471.12 for all other inspections
- Associated administrative overhead

No action is required from sponsors with existing reimbursable agreements as a result of this adjustment.

These updates ensure AJF costs are comprehensively recovered, and the FAA sustains its

ability to provide safe, reliable, and cost-effective flight inspection services in support of the National Airspace System. Moving forward, AJF will communicate the updated flight hour rates annually at the beginning of each fiscal year to ensure transparency and consistency.

For additional information please see the Flight Inspection Reimbursable Agreement Checklist on the Flight Program Operations Website. If you have any questions regarding these updates, please contact 9-AJO-AJF-4100ReimAgrRequest@faa.gov.

[1] OCONUS includes international, Alaska, Hawaii, and U.S. insular areas.

[1] OCONUS includes international, Alaska, Hawaii, and U.S. insular areas.

Cherie Jadot

From: Leah Harper
Sent: Thursday, March 26, 2026 2:04 PM
To: Cherie Jadot
Cc: Nicole Mannan; Stephanie Watson; Ruth Nelson
Subject: RE: REVISED RA EST and DRAFT for Review for Grants Pass, OR (K3S8) 13PAPI/REIL & 13/31MIRLs - Rwy 13 Extension - NITE EVAL

Hi Cherie!

What is an IFA?

I do not recall seeing this document back in October. But I looked over the Agreement and it is approved as to form and is ready for the BCC.

Let me know if you need anything further!

Leah

From: Cherie Jadot <CJadot@josephinecounty.gov>
Sent: Thursday, March 26, 2026 1:05 PM
To: Leah Harper <lharper@josephinecounty.gov>
Cc: Nicole Mannan <NMannan@josephinecounty.gov>; Stephanie Watson <stwatson@josephinecounty.gov>; Ruth Nelson <RNelson@josephinecounty.gov>
Subject: FW: REVISED RA EST and DRAFT for Review for Grants Pass, OR (K3S8) 13PAPI/REIL & 13/31MIRLs - Rwy 13 Extension - NITE EVAL
Importance: High

Leah,

This is very important, this is how we establish the "approach", without it we do not have an IFA. If we delay we jeopardize losing our place in the schedule.

Did legal review the original request in October?

I feel like it needs reviewed because it is a contract $35,006.83. It will be covered by a grant but the grant has not been finalized, regardless we need to pay the fee up front and grant reimbursement and reimbursement of any amount overpaid, will be taken care of through a process, after the fact.
This is over my authority limit; therefore, I would need to seek BCC approval. If I can get reviewed/legal to form, I can get it on the March 31st BCC Agenda.

The blue information is corrected.

Thank you,
Cherie

From: 9-AJO-AJF-4100ReimAgrRequest (FAA) <9-AJO-AJF-4100ReimAgrRequest@faa.gov>
Sent: Thursday, March 26, 2026 11:37 AM
To: Cherie Jadot <CJadot@josephinecounty.gov>; Corley McFarland <CMcFarland@preappinc.com>
Cc: Pang, Jenna K (FAA) <Jenna.K.Pang@faa.gov>; Josal, Matthew (FAA) <matthew.josal@faa.gov>; Gross, Kristin (FAA) <kristin.Gross@faa.gov>; Ruth Nelson <RNelson@josephinecounty.gov>
Subject: REVISED RA EST and DRAFT for Review for Grants Pass, OR (K3S8) 13PAPI/REIL & 13/31MIRLs - Rwy 13 Extension - NITE EVAL

EXTERNAL EMAIL: Please verify links by hovering over them!

Good afternoon,

We recently identified an issue with how the administrative fees were applied to your reimbursable agreement estimate. As a result, we are providing a revised estimate reflecting a reduced amount. The attached draft RA reflects the revised estimate.

REV EST: We estimate 5.5 hrs in a Challenger for a total estimate of $35,006.83 to provide a commissioning flight inspection of the PAPI/REIL on Rwy 13 & MIRLs on Rwys 13/31 at Grants Pass Airport (K3S8) Grants Pass, OR. ** New RNAV (GPS) RWY 13 Instrument Approach; RNAV (GPS) A and Runway 31 Instrument Departure Procedure (7/9/2026 scheduled publication date)**

Please confirm the RA info in blue is correct and you are ready to proceed with route. Once confirmed, RA will be routed internally and returned in black and white format for signature and payment in two or three weeks.

Please provide the ACH form and W9 that matches the UEI information to proceed.

Joseph Culpepper
Business Ops Analyst
Operational Integration (AJF-4400)
ATO Flight Program Operations
Federal Aviation Administration
U.S. Department of Transportation
Email: Joseph.M.Culpepper@faa.gov
Office Phone: 1 (678) 284-8741
Thank You!

From: Cherie Jadot <CJadot@josephinecounty.gov>
Sent: Tuesday, March 3, 2026 12:41 PM
To: Corley McFarland <CMcFarland@preappinc.com>; 9-AJO-AJF-4100ReimAgrRequest (FAA) <9-AJO-AJF-4100ReimAgrRequest@faa.gov>
Cc: Pang, Jenna K (FAA) <Jenna.K.Pang@faa.gov>; Josal, Matthew (FAA) <matthew.josal@faa.gov>; Barrett, Kadi D (FAA) <kadi.d.barrett@faa.gov>; Gross, Kristin (FAA) <kristin.Gross@faa.gov>; Ochs, Shelley D (FAA) <Shelley.D.Ochs@faa.gov>; Ruth Nelson <RNelson@josephinecounty.gov>
Subject: RE: ESTIMATE: Grants Pass, OR (K3S8) 13PAPI/REIL & 13/31MIRLs - Rwy 13 Extension - NITE EVAL

CAUTION: This email originated from outside of the Federal Aviation Administration (FAA). Do not click on links or open attachments unless you recognize the sender and know the content is safe.

Flight program operations.

The following statement is made in response to the item highlighted below – noted as pending.

I Cherie Jadot, Interim Airports Manager on behalf of sponsor Josephine County Airports authorize Precision Approach Engineering to work with you to provide the inspection at the facility.

Thank you,
Cherie Jadot
Interim Airport Manager.

- **We also require an e-mail from the airport manager authorizing us to work with you to provide the inspection at their facility before agreement is signed. (Pending)**

From: Corley McFarland <CMcFarland@preappinc.com>
Sent: Thursday, February 26, 2026 2:05 PM
To: 9-AJO-AJF-4100ReimAgrRequest (FAA) <9-AJO-AJF-4100ReimAgrRequest@faa.gov>
Cc: Pang, Jenna K (FAA) <Jenna.K.Pang@faa.gov>; Josal, Matthew (FAA) <matthew.josal@faa.gov>; Barrett, Kadi D (FAA) <kadi.d.barrett@faa.gov>; Gross, Kristin (FAA) <kristin.Gross@faa.gov>; Ochs, Shelley D (FAA) <Shelley.D.Ochs@faa.gov>; Cherie Jadot <CJadot@josephinecounty.gov>; Ruth Nelson <RNelson@josephinecounty.gov>
Subject: RE: ESTIMATE: Grants Pass, OR (K3S8) 13PAPI/REIL & 13/31MIRLs - Rwy 13 Extension - NITE EVAL

EXTERNAL EMAIL: Please verify links by hovering over them!

Flight program operations,
The Sponsor W9/ACH for this pending RA are attached. See below for the requested sponsor information.

Thanks,
Corley

CORLEY MCFARLAND, P.E.
PRECISION APPROACH ENGINEERING, INC.
PHONE: (541) 754-0043
CELL: (541) 740-0289
WWW.PREAPPINC.COM

From: Ochs, Shelley D (FAA) <Shelley.D.Ochs@faa.gov>
Sent: Wednesday, February 4, 2026 9:45 AM
To: Corley McFarland <CMcFarland@preappinc.com>
Cc: Pang, Jenna K (FAA) <Jenna.K.Pang@faa.gov>; Josal, Matthew (FAA) <matthew.josal@faa.gov>; Michael Crisafulli <mcrisafulli@josephinecounty.gov>; 9-AJO-AJF-4100ReimAgrRequest (FAA) <9-AJO-AJF-4100ReimAgrRequest@faa.gov>; Barrett, Kadi D (FAA) <kadi.d.barrett@faa.gov>; Gross, Kristin (FAA) <kristin.Gross@faa.gov>
Subject: ESTIMATE: Grants Pass, OR (K3S8) 13PAPI/REIL & 13/31MIRLs - Rwy 13 Extension - NITE EVAL

Good morning,

Good to speak you and confirm requirements. We estimate 5.5 hrs in a Challenger for a total estimate of $35,102.76 to provide a commissioning flight inspection of the PAPI/REIL on Rwy 13 & MIRLs on Rwys 13/31 at Grants Pass Airport (K3S8) Grants Pass, OR. *** New RNAV (GPS) RWY 13 Instrument Approach; RNAV (GPS) A and Runway 31 Instrument Departure Procedure (7/9/2026 scheduled publication date)***

Please review all requirements/information below carefully!
***Reply to this email and fill in the blanks below - Info is copied/pasted into the draft agreement ***

I have forwarded this message on to the group mailbox for processing. Effective immediately, Public Reimbursable Agreements (RAs) are no longer being processed by this individual account. Please send all Public RA requests and inquiries to the group mailbox at 9-AJO-AJF-4100ReimAgrRequest@faa.gov . This will ensure your request is received and handled promptly For additional information on initiating an RA, please refer to the guidance at Flight Program Operations | Federal Aviation Administration.

If the airport would like to proceed with the inspection, we will use the information provided (once complete) to draft an agreement for review (allow 3 weeks upon receipt of the requested info).

- **Sponsor is the entity paying for the inspection - *IMPORTANT NOTE: For the sponsor, we require the complete address below, Tax ID, UEI, as it appears in SAM.gov. In addition, please complete the attached ACH, then return both the ACH & sponsor's W9 or the system will reject setup.* **Whoever is paying for the inspection should be the entity listed on the ACH form & W9 with the complete address, tax ID, etc – all info on these forms must be identical and must also match the info in https://sam.gov/ ****

  REQUIRED INFO: Complete/return ACH form/sponsor's W9 – all info must match SAM.gov
  THE FAA DOES NOT DEDUCT PAYMENTS FROM THE ACCOUNT LISTED ON THE ACH FORM.
  1. **Accounting compares info on the ACH/W9/SAM.gov to establish sponsors in our systems – *you will be notified of any discrepancies.***
  2. **Once inspections are complete, Accounting refunds any remaining balance (if applicable) to the account listed on the ACH form.**

- **SPONSOR NAME: Josephine County Airports**
- **ADDRESS: 1441 Brookside Blvd**
- **CITY, STATE, ZIP (9-DIGIT ZIP): Grants Pass, OR 97526-7209**
- **Sponsor Tax ID Number: 93-6002300**
- **Sponsor UEI Number from SAM.gov: MCM8TATKED46**

- **Requirement: provide a commissioning flight inspection of the PAPI/REIL on Rwy 13 & MIRLs on Rwys 13/31 at Grants Pass Airport (K3S8) Grants Pass, OR.** (PLEASE CONFIRM) - **Confirmed**

- **Sponsor/Agreement POC - This is the person most knowledgeable about the requirement:**
  Sponsor POC Name/Title: Cherie Jadot– Interim Manager Josephine County Airports
  Address: 1441 Brookside Blvd
  City, State, 9-digit Zip: Grants Pass, OR 97526-7209
  Phone: 541-955-4535
  Email: cjadot@josephinecounty.gov
- **Invoice POC - This is the sponsor's financial POC:**
  Invoice POC Name/Title: Cherie Jadot– Interim Manager Josephine County Airports
  Address: 1441 Brookside Blvd

City, State, 9-digit Zip: **Grants Pass, OR 97526-7209**
Phone: **541-955-4535**
Email: cjadot@josephinecounty.gov
Agreement signature authority name & title: **Cherie Jadot– Interim Manager Josephine County Airports**
Date mo/yr inspection anticipated: **MAY '26**

- **AIP GRANT:** Is this agreement funded in whole/part with an FAA Airport Improvement Grant (AIP)? **YES.** ***No need to list if state or other local grant involved***
- **FAA AIP grant date**: **TBD**
- **Grant number:** **3-41-0023-021-2026**
- **We also require an e-mail from the airport manager authorizing us to work with you to provide the inspection at their facility before agreement is signed.** **(Pending)**

AIRPORTS RESPONSIBILITY - The FAA requires current VGSI data prior to scheduling the inspection; therefore, IF APPLICABLE, you must register, complete the online form, then submit Aeronautical Data through this site: Lighting/RVR Data Form (faa.gov). Data POC: tommy.byrns@faa.gov or 405-954-5482.

IF THE AIRPORT HAS ESTABLISHED A CONSTRUCTION TYPE OF AGREEMENT FOR EQUIPMENT PURCHASE, ENGINEERING SERVICES, ETC., the associated cost of the flight inspection can be included as a line item on that agreement so a separate flight inspection agreement would not be necessary. That would be one less agreement for both the airport and FAA to manage.

It is best to start the agreement process 4 months prior to when sponsor anticipates requiring inspection to ensure agreement/prepayment are in place by the time inspection is required. The agreement must be fully approved, signed, and prepayment received by the FAA prior to scheduling inspection.

Once the draft is prepared/reviewed and agreeable by the sponsor, let us know and we will formally coordinate within the FAA for approval THEN return a black and white version for sponsor's signature and request repayment at that time. Once the agreement is fully executed/funded, additional information will be provided for the sponsor to call the scheduler and request the inspection when ready. After we fly, we will review actual time used, provide an Explanation of Charges (EOC) for money spent, and initiate refund of any unused balance.

THESE ARE 5 YEAR AGREEMENTS, ONCE SIGNED/FUNDED, THE AIRPORT HAS 5 YEARS TO COMPLETE THE WORK.

One last thing - we recommend a technician/qualified individual be onsite during the inspection to make any adjustments necessary to ensure a successful inspection. You will be contacted for scheduling the inspection so you can make any necessary arrangements. Be advised that if the inspection is not successful due to unresolvable problems with the equipment or at the site, we will review the time/funds spent to determine if additional funds are necessary before making a return trip. If additional funds are necessary, we will amend the agreement to add time/funds before you can request a return trip - which is an extra delay and expense we would all like to avoid.

Non-Fed RA Process (in a nutshell):

1. Sponsor provides airport ident, requirements, and requests an estimate for flight inspection (FI).
2. Allow 2 weeks for estimate/requirements to begin the agreement process.
3. Sponsor provides draft information/UEI/completed ACH/W9 (allow 2-3 weeks for doc prep). *Remember all info on the ACH/W9 must match SAM.gov registration.
4. Draft RA & Business Case are created
5. Draft sent to sponsor for review (Review not to exceed 120 days).
6. Sponsor requests revisions and/or approves draft for internal approval/coordination.
7. FAA coordination/approval submitted through internal systems (allow 2 weeks).
8. **Once approved, a black & white version of agreement is sent to Sponsor for signature/prepayment requested (Pay.gov preferred method of payment – instructions included w/email). IMPORTANT NOTE: If agreement is not returned signed within 120 days from request/prepayment sent, RA is null and void, and the process must start over causing delays (Reference Article 21, pg 8/9).**

9. Sponsor provides signed RA via email.
10. Signed RA sent for CO's signature (allow 1 week).
11. Once CO signs, executed RA sent to Sponsor / uploaded in Toolset.
12. Once payment is received/processed by Acctg (allow1- 2 weeks), Sponsor is notified FI can be scheduled.
13. Sponsor contacts the scheduler to schedule FI. (Usually a minimum of 2-4 weeks to be placed on itinerary)
    *Airport is responsible to inform scheduler if they have a procedure on the schedule to be Flight checked and published to coincide them.
14. Once FI occurs, an Explanation of Charges (EOC) is created (usually month after FI).
15. EOC is sent to the Sponsor as a final invoice disclosing refund due OR EOC will reflect incomplete status with remaining funds available and/or addl funds due for return trip(s); possible overrun balance due the FAA OR possible amendment to original agreement, IF requirements change or additional funds required.
16. If refund is due, Accounting will use the ACH/W9 received at origination to issue refund electronically.
17. Overrun payment may be requested if FI took longer than originally estimated. Upon receipt of Addl funds, final EOC will be sent to Sponsor & RA submitted for closeout.
18. RA is closed once funds = zero.

Let us know of any questions, thank you!

Shelley Ochs
Flight Program Operations, AJF-0
Business Support Group, AJF-41
FAA-Mike Monroney Aeronautical Center
(405) 954-5757

From: Corley McFarland <CMcFarland@preappinc.com>
Sent: Monday, November 17, 2025 1:43 PM
To: Ochs, Shelley D (FAA) <Shelley.D.Ochs@faa.gov>
Cc: Pang, Jenna K (FAA) <Jenna.K.Pang@faa.gov>; Josal, Matthew (FAA) <matthew.josal@faa.gov>; Michael Crisafulli <mcrisafulli@josephinecounty.gov>
Subject: Grants Pass Airport (3S8) Runway 13 Extension Reimbursable Agreement(s) Request

CAUTION: This email originated from outside of the Federal Aviation Administration (FAA). Do not click on links or open attachments unless you recognize the sender and know the content is safe.

Good morning Shelley,
We need to coordinate a Reimbursable Agreement(s) for the following flight checks associated with this Runway Extension project.

1. Flight check for commissioning the revised Runway 13/31 lighting (MIRLs), new Runway 13 PAPI, and replaced Runway 13 REIL. All facilities will be owned by the Sponsor (non-Fed).
2. Flight check for new RNAV (GPS) RWY 13 Instrument Approach; RNAV (GPS) A, and Runway 31 Instrument Departure Procedure (7/9/2026 scheduled publication date).

We were unsure whether this work would require one or two R/A's, so please structure accordingly. Project information:

Sponsor (who's paying): Josephine County Airports
POC name, full mailing address, phone & e-mail: Michael Crisafulli– Manager Josephine County Airports; 1441 Brookside Blvd, Grants Pass, OR, 97526; (541) 955-4535; mcrisafulli@josephinecounty.gov
Invoicing POC name, full mailing address, phone & e-mail (if different): Same
Agreement signature authority name & title:

Josephine County Board of Commissioners
Andreas Blech, Chair
Chris Barnett, Vice Chair

Ron Smith, Commissioner

Josephine County Airports
Michael Crisafulli – Manager Josephine County Airports

Sponsor Tax ID Number: 93-6002300
Sponsor UEI (if available): MCM8TATKED46
Estimated mo/yr inspection anticipated: Runway Lighting/PAPI/REILs February/2026; Instrument Flight Procedures June/2026
Is this agreement in whole or in part funded with funding from an AIP grant? Yes, AIP 3-41-0023-021-2026 (Pending grant)

Let me know if you need anything else to prepare this R/A. Thanks,
Corley

CORLEY MCFARLAND, P.E.
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